# Advanced Financial Accounting

## An IFRS® Standards Approach, 3e

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## Solutions Manual

### Chapter 5

### Group Reporting IV: Consolidation under IFRS 10

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| **Concept Questions (CQ)** | | |
|---|---|---|
| | | **Reasons** |
| CQ5.1 | TRUE | Balances with associates are not eliminated |
| CQ5.2 | FALSE | Dividend income should be eliminated against dividend declared |
| CQ5.3 | TRUE | A profit from an intercompany sale would result in either a higher cost of sales or higher inventory of the buying company |
| CQ5.4 | FALSE | The adjustment should correct an overstatement (not understatement) of group profits |
| CQ5.5 | TRUE | Risks and rewards must be transferred from the economic entity before revenue can be recognized |
| CQ5.6 | FALSE | The entity theory is the more appropriate theory to justify the consistent treatment of NCI's share of profit with that of the majority interests |
| CQ5.7 | FALSE | NCI is not affected in a downstream sale transaction |
| CQ5.8 | FALSE | Retained earnings (not current profit) need to be adjusted as the sale is made in a previous period |
| CQ5.9 | TRUE | The realized profit will increase current profit and reduce retained earnings |
| CQ5.10 | c | An unrealized loss will be reversed, resulting in an increase to retained earnings and fixed assets |
| CQ5.11 | c | If the unrealized loss is reversed, the group's depreciation will be increased. |
| CQ5.12 | c | Loss is not reversed but is reclassified as an impairment loss |

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| | | | |
|---|---|---|---|
| Deferred tax liability on fair value adjustments = 20%*$40,000 | | | |
| 8000 | | | |
| Fair value of identifiable net assets = Book value of net assets | | | |
| + fair value adjustment on building - defered tax liability on fair value adjustment | | | |
| | | | |
| Fair value of WALL acquisition date | | 280000 | |
| Fair value of NCI at acquisition date | | 84000 | |
| Fair value of acquirer's consideration | | 196000 | |
| Fair value of identifiable net assets | | 232,000 | |
| | | | |
| Goodwill | | 48,000 | =280000-232000 |
| | | | |
| **(1) Consolidation adjustments** | | | |
| ***CJE1: Elimination of Investment*** | | | |
| Dr Share capital | 160,000 | | |
| Dr Retained earnings | 40,000 | | |
| Dr Goodwill | 48,000 | | |
| Dr Buildings | 40,000 | | |
| Cr Deferred tax liability | | 8,000 | |
| Cr Investment | | 196,000 | |
| Cr Non-controlling interests | | 84,000 | (30%*fair value of Wall Co) |
| | 288,000 | 288,000 | |
| | | | |
| ***CJE2: Past impairment of goodwill*** | | | |
| Dr Retained earnings | 6,720 | =20%*70%*48000 | |
| Dr Non-controlling interests | 2,880 | =20%*30%*48000 | |
| Cr Goodwill | | 9,600 | |
| | | | |
| ***CJE3: Past and current depreciation on undervalued building*** | | | |
| Dr RE | 2,800 | (70%*40k/10) | |
| Dr NCI | 1,200 | | |
| Dr Depreciation | 4,000 | | |
| Cr Accumulated depreciation | | 8,000 | |
| | | | |
| ***CJE4: Tax effects on past and current depreciation on undervalued building*** | | | |
| Dr Deferred tax liability | 1,600 | | |
| Cr RE | | 560 | |
| Cr NCI | | 240 | |
| Cr Tax expense | | 800 | |
| | | | |
| ***CJE5:Attributing post-acq RE to NCI*** | | | |
| Dr RE | 18,000 | | |
| Cr NCI | | 18,000 | |
| RE at 1.1.20x3 | | 100,000 | |
| RE at date of acquisition | | -40,000 | |
| Change | | 60,000 | |
| NCI's share | 30%*60K | 18,000 | |
| | | | |
| ***CJE6: Elimination of dividends*** | | | |
| Dr Dividend income | 21,000 | | |
| Dr Non-controlling interests | 9,000 | (30%*30000) | |
| Cr Dividends declared | | 30,000 | |

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| | | | | |
|---|---|---|---|---|
| ***CJE7: Adjust for unrealised profit on upstream sale of inventory in 20x2*** | | | | |
| Dr RE | (70%*32K) | 22,400 | | |
| Dr NCI | (30%*32K) | 9,600 | | |
| Cr Cost of sales (54/96*32K) | | | 18,000 | |
| Cr Inventory (42/96*32K) | | | 14,000 | |
| | | | | |
| ***CJE8: Adjust for tax effects of CJE7*** | | | | |
| Dr Tax expense (20%*18K) | | 3,600 | | |
| Dr Deferred tax asset (20%*14K) | | 2,800 | | |
| Cr RE (20%*22.4K) | | | 4,480 | |
| Cr NCI (20%*9.6K) | | | 1,920 | |
| | | | | |
| ***CJE9: Adjustment for unrealised profit on downstream sale of building in 20x2*** | | | | |
| Dr RE | | 32,000 | | |
| Cr Building | | | 24,000 | (reinstate to original cost) |
| Cr Accumulated depreciation | | | 8,000 | (reinstate to previous accum dep) |
| | | | | |
| Sales proceeds | | | 64,000 | |
| Original cost | | 40,000 | | |
| Accumulated depreciation | | -8,000 | | |
| Net book value | | | 32,000 | |
| | | | | |
| Profit on sale | | | 32,000 | |
| | | | | |
| ***CJE10: Adjustment for the tax effects on CJE 9*** | | | | |
| Dr Deferred tax asset | | 6,400 | | |
| Cr RE | | | 6,400 | |
| | | | | |
| ***CJE11: Adjust for excess depreciation*** | | | | |
| Dr Accumulated depreciation | | 8,000 | | |
| Cr RE | | | 4,000 | |
| Cr Depreciation | | | 4,000 | |
| | | | | |
| New depreciation=64K/8 | | 8,000 | | |
| Old depreciation=40K/10 | | 4,000 | | |
| Excess | | 4,000 | | |
| | | | | |
| ***CJE12: Adjust for tax on CJE11*** | | | | |
| Dr RE | (20%*4000K) | 800 | | |
| Dr Tax expense | (20%*4000K) | 800 | | |
| Cr Deferred tax asset | | | 1,600 | |
| | | | | |
| ***CJE13: Adjustment for unrealised profit on downstream sale of inventory in 20x3*** | | | | |
| Dr Sales | | 180,000 | | |
| Cr Cost of sales | | | 144,000 | |
| Cr Inventory | | | 36,000 | (60%*60K) |
| | | | | |
| or break into two parts | | | | |
| *Realised sales* | | | | |
| Dr Sales | 40%*180K | 72,000 | | |
| Cr Cost of Sales | | | 72,000 | |
| | | | | |
| *Unrealised sales* | | | | |
| Dr Sales | 60%*180K | 108,000 | | |
| Cr Cost of sales | | | 72,000 | (60%*120K) |
| Cr Inventory | | | 36,000 | |

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|---|---|---|---|---|
| ***CJE14:Adjustment for tax on CJE13*** | | | | |
| Dr Deferred tax asset | 20%*36000 | 7,200 | | |
| Cr Tax expense | | | 7,200 | |
| | | | | |
| ***CJE15:Assign current profit to NCI*** | | | | |
| Dr Income to NCI (PL) | | 17,760 | | |
| Cr NCI | | | 17,760 | |
| | | | | |
| Unadjusted NPAT | | | | 48,000 |
| Less depreciation on undervalued building | | | | (4,000) |
| Add tax on depreciation on undervalued building | | | | 800 |
| Add realised profit from 20x2 upstream sale | | | | 18,000 |
| Less tax on realised profit from 20x2 upstream sale | | | | (3,600) |
| | | | | |
| Adjusted NPAT | | | | 59,200 |
| NCI's share at 30% | | | | 17,760 |
| NCI balance as at 31 Dec 20x3 | | | | |
| | | | | |
| CJE1 | 84,000 | | | |
| CJE2 | (2,880) | | | |
| CJE3 | (1,200) | | | |
| CJE4 | 240 | | | |
| CJE5 | 18,000 | | | |
| CJE6 | (9,000) | | | |
| CJE7 | (9,600) | | | |
| CJE8 | 1,920 | | | |
| CJE15 | 17,760 | | | |
| | | | | |
| NCI total | 99,240 | | | |
| | | | | |
| **(2) Analytical check of NCI** | | | | |
| | | | | |
| Share capital | | 160,000 | | |
| Retained earnings bf | 100,000 | | | |
| Net profit after tax | 48,000 | | | |
| Less dividends | (30,000) | | | |
| RE cf | | 118,000 | | |
| Shareholders' equity at 31.12.20x3 | | 278,000 | | |
| | | | | |
| Unrealized profit from upstream sale | | (14,000) | | |
| Tax on unrealized profit | | 2,800 | | |
| | | | | |
| Unamortized FV adjustment (after-tax) | | 25,600 | | |
| Unimpaired balance of goodwill | | 38,400 | | |
| Total | | 330,800 | | |
| | | | | |
| NCI's share @ 30% | | 99,240 | | |

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| | FIRE | WALL | Dr | Cr | Consolidated |
|---|---|---|---|---|---|
| **Income Statement** | | | | | |
| Sales | 520,000 | 250,000 | 180,000 | | 590,000 |
| Cost of sales | (372,000) | (159,600) | | 18,000 | (369,600) |
| | | | | 144,000 | |
| Gross profit | 148,000 | 90,400 | | | 220,400 |
| | | | | | |
| Other income | 79,250 | 50,000 | | | 129,250 |
| Dividend income | 21,000 | | 21,000 | | |
| | | | | | |
| Depreciation | (40,000) | (30,000) | 4,000 | 4,000 | (70,000) |
| Interest expense | (32,000) | (10,400) | | | (42,400) |
| Other expense | (12,000) | (40,000) | | | (52,000) |
| | | | | | |
| NPBT | 164,250 | 60,000 | | | 185,250 |
| | | | | | |
| Tax @ 20% | (32,850) | (12,000) | 3,600 | 800 | (41,250) |
| | | | 800 | 7,200 | |
| | | | | | |
| NPAT | 131,400 | 48,000 | | | 144,000 |
| | | | | | |
| Income to NCI | | | 17,760 | | (17,760) |
| | | | | | |
| RE bf | 241,600 | 100,000 | 40,000 | 4,480 | 234,320 |
| | | | 6,720 | 6,400 | |
| | | | 2,800 | 4,000 | |
| | | | 18,000 | 560 | |
| | | | 22,400 | | |
| | | | 32,000 | | |
| | | | 800 | | |
| | | | | | |
| Dividends declared | (60,000) | (30,000) | | 30,000 | (60,000) |
| | | | | | |
| RE cf | 313,000 | 118,000 | 349,880 | 219,440 | 300,560 |

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| Statement of Financial Position | FIRE | WALL | Dr | Cr | Consolidated |
|---|---|---|---|---|---|
| | | | | | |
| Cash | 19,800 | 3,200 | | | 23,000 |
| Accounts Receivable | 32,000 | 38,000 | | | 70,000 |
| Deferred tax asset | | | 7,200 | 1,600 | 14,800 |
| | | | 2,800 | | |
| | | | 6,400 | | |
| Inventory | 330,000 | 170,000 | | 14,000 | 450,000 |
| | | | | 36,000 | |
| Land | 160,000 | 80,000 | | | 240,000 |
| Buildings and equipment | 680,000 | 520,000 | 40,000 | 24,000 | 1,216,000 |
| Less accumulated depreciation | (280,000) | (160,000) | 8,000 | 8,000 | (448,000) |
| | | | | 8,000 | |
| | | | | | |
| Investment in Wall | 196,000 | | | 196,000 | - |
| Goodwill | | | 48,000 | 9,600 | 38,400 |
| | 1,137,800 | 651,200 | 112,400 | 297,200 | 1,604,200 |
| | | | | | |
| Share capital | 240,000 | 160,000 | 160,000 | | 240,000 |
| Retained earnings | 313,000 | 118,000 | 349,880 | 219,440 | 300,560 |
| | | | | | |
| Non-controlling interests | | | 1,200 | 84,000 | 99,240 |
| | | | 9,000 | 18,000 | |
| | | | 9,600 | 1,920 | |
| | | | 2,880 | 17,760 | |
| | | | | 240 | |
| Bonds payable | 400,000 | 300,000 | | | 700,000 |
| Bond premium | | 3,200 | | | 3,200 |
| Accounts payable | 184,800 | 70,000 | | | 254,800 |
| Deferred tax liability | | | 1,600 | 8,000 | 6,400 |
| | | | | | |
| | 1,137,800 | 651,200 | 534,160 | 349,360 | 1,604,200 |
| | | | 646,560 | 646,560 | |

| | | | | |
|---|---|---|---|---|
| **4 (a)** | **Consolidated cost of sales** | | | |
| | Fire's cost of sales | | 372,000 | |
| | Wall's cost of sales | | 159,600 | |
| | Adjustment to cost of sales | | | |
| | Upstream sale from 20x2 | Note 1 | (18,000) | 56.25%*(96000-64000) |
| | Downstream sale (realized portion) | Note 2 | (72,000) | 40%*180000 |
| | Downstream sale (unrealized portion) | Note 3 | (72,000) | 60%*120000 |
| | | | 369,600 | |
| | | | | |
| Note 1: | Percentage re-sold to third parties | | 56.25% | 54000/96000 |
| Note 2 | Transfer price | | 180,000 | |
| | Sold portion | | 40% | |
| Note 3 | Original cost | | 120,000 | |
| | Unsold portion | | 60% | |

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| | | | |
|---|---|---|---|
| **4(b)** | **Consolidated depreciation expense** | | |
| | Depreciation expense | | |
| | Fire | (40,000) | |
| | Wall | (30,000) | |
| | Adjustments | | |
| | Depreciation of under-valued buildings | (4,000) | 40000/10 |
| | Excess depreciation of transferred buildings | 4,000 | 32000/8 |
| | | (70,000) | |
| **4(c)** | **Consolidated inventory balance** | | |
| | Fire | 330,000 | |
| | Wall | 170,000 | |
| | Adjustments | | |
| | Unrealized profit in ending inventory from | | |
| | Upstream sale (Note 1) | (14,000) | 43.75%*(96000-64000) |
| | Downstream sale | (36,000) | 60%*(180000-120000) |
| | | 450,000 | |
| | Note 1: Balance unsold (%) = 42000/96000 = 43.75% | | |
| **4(d)** | **Consolidated carrying amount of buildings and equipment** | | |
| | Fire | 400,000 | |
| | Wall | 360,000 | |
| | Adjustments | | |
| | Under-valuation of buildings | 32,000 | 8/10*40000 |
| | Excess profit on transferred buildings | (24,000) | 6/8*(64000-32000) |
| | | 768,000 | |
| **4(e)** | **Consolidated retained earnings (RE)** | | |
| | Fire's RE | 313,000 | |
| | Fire's share of Wall's post-acquisition RE | 54,600 | 54600 |
| Less | Share of impairment loss on goodwill | (6,720) | 70%*20%*48000 |
| | Share of after-tax depreciation of under-valuation | (4,480) | 70%*80%*40000/10*2 |
| Less | Unrealized profit, after-tax, on inventory (downstrean | (28,800) | 80%*36000 |
| | Unrealized profit, after-tax on building (downstream) | (19,200) | 80%*24000 |
| | Share of unrealized profit, after-tax on inventory | (7,840) | 70%*80%*14000 |
| | | 300,560 | - |

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| | | | |
|---|---|---|---|
| Fair value of non-controlling interests | 112500 | | |
| Consideration paid at acquisition date | 450000 | | |
| Fair value of entity as a whole | 562500 | | |
| | | | |
| Fair value of identifiable net assets of Opal Ltd | 420000 | | |
| Goodwill | 142500 | | |
| | | | |
| **(1) Prepare consolidation journal entries for the year ended 31 Dec 20x2** | | | |
| | | | |
| ***CJE1 Elimination of investment in Opal Ltd*** | | | |
| Dr Share capital | | 300,000 | |
| Dr Opening retained earnings | | 120,000 | |
| Dr Goodwill | | 142,500 | |
| Cr Investment | | | 450,000 |
| Cr Non-controlling interests | | | 112,500 |
| | | 562,500 | 562,500 |
| ***CJE2 Goodwill impairment (past and present) in Opal Ltd*** | | | |
| Dr Opening retained earnings | | 40,000 | |
| Dr Non-controlling interests | | 10,000 | |
| Dr Impairment of goodwill (Group's P&L) | | 40,000 | |
| Cr Goodwill on consolidation | | | 90,000 |
| | | | |
| ***CJE3 Elimination of dividends declared by Opal*** | | | |
| Dr Dividend income from Opal (Jewel's P/L) | | 23,400 | |
| Dr Non-controlling interests (B/S) | | 5,850 | |
| Cr Dividends declared, net (Opal's P/L) | | | 29,250 |
| | | | |
| ***CJE4 Adjustment of unrealised profits in closing inventories*** | | | |
| Dr Sales (Jewel's) | | 100,000 | |
| Cr Cost of Sales (Jewel's) | | | 70,000 |
| Cr Closing Inventory (Opal's B/S) | | | 30,000 |
| | | | |
| ***CJE5 Adjustment of tax on unrealised profits*** | | | |
| Dr Deferred tax asset | | 6,000 | (20%*30K) |
| Cr Tax expense | | | 6,000 |
| | | | |
| ***CJE6 Non-controlling interests - Change in post-acq RE to beginning of year*** | | | |
| Dr Opening retained Earnings | | 18,000 | |
| Cr Non-controlling interests (B/S) | | | 18,000 |
| Retained earnings, 1 Jan 20x2 | | 210,000 | |
| Retained earnings, 1 Jan 20x0 | | (120,000) | |
| Change in retained earnings | | 90,000 | |
| NCI's share of change in RE | | 18,000 | |
| | | | |
| ***CJE7 Non-controlling interests' share of profit afer tax for 20x2*** | | | |
| Dr Non-controlling interests (P/L) | | 16,960 | |
| Cr Non-controlling interests (B/S) | | | 16,960 |
| Non-controlling interest share of Opal's profit after tax for 20x2 | | | |

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| | | | |
|---|---|---|---|
| Net profit after tax of S | | 124,800 | |
| Goodwill impairment loss for 20x2 | | -40,000 | |
| Adjusted net profit after tax of S | | 84,800 | |
| | | | |
| ***(2) Analytical check on balance of NCI*** | | | |
| NCI at acquisition date, 1 Jan 20x0 | | | 112,500 |
| NCI's share of past goodwill impairment | | | (10,000) |
| NCI's share of post-acq RE to 1 Jan 20x2 | | | 18,000 |
| NCI's share of profit after tax | | | 16,960 |
| Dividends received | | | (5,850) |
| Closing NCI | | | 131,610 |
| | | | |
| *Check:* | | | |
| Shareholders' equity of Opal Ltd as at 31 Dec 20x2 | | | 605,550 |
| Add unimpaired balance of goodwill | | | 52,500 |
| Adjusted shareholders' equity of Opal | | | 658,050 |
| NCI's share @ 20% | | | 131,610 |
| | | | |
| ***(3) Analytical check on consolidated retained earnings*** | | | |
| | | | |
| Jewel's RE | | | 2,753,400 |
| Opal's RE | | | 305,550 |
| CJE1 Elimination of investment in Opal Ltd | | | (120,000) |
| CJE2 Goodwill impairment (past and present) in Opal Ltd | | | (80,000) |
| CJE3 Elimination of dividends declared by Opal | | | 5,850 |
| CJE4 Adjustment of unrealised profits in closing inventories | | | (30,000) |
| CJE5 Adjustment of tax on unrealised profits | | | 6,000 |
| CJE6 Non-controlling interests - Change in post-acq RE to beginning of year | | | (18,000) |
| CJE7 Non-controlling interests' share of profit afer tax for 20x2 | | | (16,960) |
| | | | |
| | | | 2,805,840 |
| ***Reconciliation:*** | | | |
| Jewel's RE | | | 2,753,400 |
| Jewel's share of Opal's post-acquisition retained earnings | | Note 1 | 148,440 |
| Note 1 | 80%*(305550-120000) | | |
| Share of goodwill impairment | | 80%*90000 | (72,000) |
| Unrealized profit in inventory (downstream), after-tax | | 80%*30000 | (24,000) |
| | | | |
| | | | 2,805,840 |
| | | | |
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| | | | |
|---|---|---|---|
| ***CJE1 Elimination of investment in subsidiary*** | | | |
| Dr Share capital | | 200,000 | |
| Dr Retained earnings | | 150,000 | |
| Dr Buildings and equipment | | 31,250 | |
| Cr Deferred tax liability | | | 6,250 |
| Cr Investment in Sapphire | | | 300,000 |
| Cr Non-controlling interests (BS) | (NCI at fair value at acq date) | | 75,000 |
| | | 381,250 | 381,250 |
| Excess of acquisition cost over P's share of book value of S | | | |
| = 300000 - 80%*(200K+150K) = 20000 | | | |
| Under-valuation of buildings less DTL for entity as a whole | | 25,000 | 20000/0.8 |
| (regrossed for Non-controlling interests share as well) | | | |
| | | | |
| There is no goodwill. Assume that purchase differential (excess of cost of | | | |
| business combination over net fair value) is on an after-tax basis. | | | |
| Re-gross the purchase differential to determine the under-valuation of buildings. | | | |
| Under-valuation of buildings and equipment,gross | | 31,250 | 25000/0.8 |
| Tax on under-valuation of buildings and equipment | | 6,250 | 31250*0.2 |
| Fair value adjustment | | 25,000 | |
| | | | |
| ***CJE2 Past and current depreciation on undervalued buildings*** | | | |
| Dr Opening retained earnings | =31250/10*2*80% | 5,000 | |
| Dr Non-controlling interests (BS) | =31250/10*2*20% | 1,250 | |
| Dr Depreciation | =31250/10 | 3,125 | |
| Cr Accumulated depreciation | | | 9,375 |
| | | | |
| ***CJE3 Tax effects of CJE2*** | | | |
| Dr Deferred tax liability | | 1,875 | |
| Cr Opening retained earnings | | | 1,000 |
| Cr Non-controlling interests | | | 250 |
| Cr Tax expense | | | 625 |
| | | | |
| ***CJE4 Eliminate dividend income*** | | | |
| Dr Dividend income | | 16,000 | |
| Dr Non-controlling interests (BS) | | 4,000 | |
| Cr Dividends declared | | | 20,000 |
| | | | |
| ***CJE5 Current income to Non-controlling interests*** | | | |
| Dr Non-controlling interests (PL) | | 11,020 | |
| Cr Non-controlling interests (BS) | | | 11,020 |
| Profit before adjustment | | | 60,000 |
| Add back previous year's unrealised profit now realised | (15000-10000) | | 5,000 |
| Less current year's unrealised profit | 40% * (60k-40k) | | -8,000 |
| Tax effects on unrealized profit on inventory | (1600-1000) | | 600 |
| Less depreciation on undervalued building | | | -3,125 |
| Add tax effects on depreciation on undervalued building | | | 625 |
| Adjusted profit | | | 55,100 |
| NCI's share | | | 11,020 |

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|---|---|---|---|
| ***CJE6 Assign post-acquisition RE to NCI*** | | | |
| Dr Opening retained earnings (from 20x7 to beginning 20x9) | | 30,000 | |
| Cr Non-controlling interests | | | 30,000 |
| Assign post-acquisition RE to NCI | 20%*(300K-150K) | | |
| | | | |
| ***CJE7 Realization of beginning unrealized inventory in inventory*** | | | |
| Dr Opening retained earnings | | 4,000 | |
| Dr Non-controlling interests (BS) | | 1,000 | |
| Cr Cost of goods sold | | | 5,000 |
| | | | |
| ***CJE8 Elimination of intercompany sale of inventory*** | | | |
| Dr Sales | | 60,000 | |
| Cr Cost of goods sold | | | 52,000 |
| Cr Inventory | | (40%*20K | 8,000 |
| | | | |
| Alternatively, | | | |
| | | | |
| Dr Sales | (60%*60K) | 36,000 | |
| Cr Cost of goods sold | | | 36,000 |
| Eliminate intercompany sales (realised) | | | |
| | | | |
| Dr Sales | (40%*60K) | 24,000 | |
| Cr Cost of goods sold | (40%*40K) | | 16,000 |
| Cr Inventory | | | 8,000 |
| Eliminate intercompany sales and unrealised profit in inventory | | | |
| | | | |
| ***CJE9 Tax on realization of unrealized profit in beginning inventory*** | | | |
| Dr Tax expense | | 1,000 | |
| Cr Opening retained earnings | | | 800 |
| Cr Non-controlling interests (BS) | | | 200 |
| | | | |
| ***CJE10 Tax on unrealized profit of current sale*** | | | |
| Dr Deferred tax asset | | 1,600 | |
| Cr Tax expense | | | 1,600 |

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| **Problem 5.3(2)** | Prism | Sapphire | Eliminations | | Consolidated |
|---|---|---|---|---|---|
| | | | Dr | Cr | |
| Sales | 1,000,000 | 480,000 | 60000 | | 1,420,000 |
| Cost of goods sold | (640,000) | (320,000) | | 52,000 | (903,000) |
| | | | | 5,000 | |
| Dividend income | 16,000 | 0 | 16,000 | | 0 |
| Depreciation expense | (100,000) | (10,000) | 3,125 | | (113,125) |
| Interest expense | (72,000) | (14,000) | | | (86,000) |
| Tax and other expenses | (44,000) | (76,000) | 1,000 | 1,600 | (118,775) |
| | | | | 625 | |
| Non-controlling interests | | | 11,020 | | (11,020) |
| Net income transferred to RE | 160,000 | 60,000 | | | 188,080 |
| Retained earnings, Jan 1 | 580,000 | 300,000 | 5,000 | 1,000 | 692,800 |
| | | | 4,000 | 800 | |
| | | | 150,000 | | |
| | | | 30,000 | | |
| Dividends declared | (40,000) | (20,000) | | 20,000 | (40,000) |
| Retained earnings, Dec 31 | 700,000 | 340,000 | 280,145 | 81,025 | 840,880 |
| Cash and receivables | 620,000 | 420,000 | | | 1,040,000 |
| Deferred tax asset | | | 1,600 | | 1,600 |
| Inventory | 640,000 | 270,000 | | 8,000 | 902,000 |
| Land | 260,000 | 150,000 | | | 410,000 |
| Buildings and equipt, cost | 1,500,000 | 200,000 | 31,250 | | 1,731,250 |
| Investment in Sapphire, cost | 300,000 | | | 300,000 | 0 |
| Debits | 3,320,000 | 1,040,000 | 32,850 | 308,000 | 4,084,850 |
| Accumulated depreciation | 1,000,000 | 80,000 | | 9,375 | 1,089,375 |
| Payables | 1,220,000 | 420,000 | | | 1,640,000 |
| Deferred tax liability | | | 1,875 | 6,250 | 4,375 |
| Share capital | 400,000 | 200,000 | 200,000 | | 400,000 |
| Retained earnings | 700,000 | 340,000 | 280,145 | 81,025 | 840,880 |

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| | | | | | |
|---|---|---|---|---|---|
| Non-controlling interests | | | | 200 | 110,220 |
| | | | | 250 | |
| | | | 4,000 | 75,000 | |
| | | | 1,250 | 11,020 | |
| | | | 1,000 | 30,000 | |
| Credits | 3,320,000 | 1,040,000 | 488,270 | 213,120 | 4,084,850 |
| | | | 521,120 | 521,120 | |

**Problem 5.3(3)**

***Non-controlling interests' check:***

| | |
|---|---|
| Shareholders' equity of Sapphire at 31 Dec 20x9 | 540,000 |
| Net book value of fair value adjustment (after-tax) | 17,500 |
| Unrealized profit on upstream sale | (8,000) |
| Tax on unrealized profit on upstream sale | 1,600 |
| Adjusted shareholders' equity of Sapphire at 31 Dec 20x9 | 551,100 |
| NCI's share @ 20% | 110,220 |
| NCI balance in consolidated worksheet | 110,220 |

**Problem 5.3(4)**

| | | |
|---|---|---|
| 4 (a) | **Consolidated inventory balance** | |
| | Prism | 640,000 |
| | Sapphire | 270,000 |
| | Adjustments | |
| | Unsold inventory at year end | (8,000) |
| | | 902,000 |
| | Balance on consolidation worksheet | 902,000 |
| 4 (b) | **Consolidated buildings and equipment, net of accumulated depreciation** | |
| | Prism | 500,000 |
| | Sapphire | 120,000 |
| | Adjustments | |
| | Remaining balance of under-valued buildings and equipment | 21,875 |
| | | 641,875 |
| | Balance on consolidation worksheet: | |
| | Cost | 1,731,250 |
| | Accumulated depreciation | (1,089,375) |
| | Net book value | 641,875 |
| 4 (c) | Consolidated retained earnings | |
| | Prism's RE | 700,000 |
| | Prism's share of Sapphire's post-acquisition RE | 152,000 |

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| | | |
|---|---|---|
| | Prism's share of depreciation on under-valued buildings, after tax | (6,000) |
| | Prism's share of unrealized profit in inventory, after tax | (5,120) |
| | | |
| | | 840,880 |
| | Balance on consolidation worksheet | 840,880 |

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| | | | |
|---|---|---|---|
| **Part (1) Parent Co sold equipment to Subsidiary Co** | | | |
| CJE1: Reversal of profit | | | |
| Dr Profit on Sale | | 10,000 | |
| Dr Fixed asset | | 80,000 | |
| Cr Accumulated depreciation | | | 90,000 |
| Selling price | | 120,000 | |
| Net book value | | (110,000) | |
| Profit on sale | | 10,000 | |
| CJE2: Tax on profit on sale | | | |
| Dr Deferred tax asset | | 2,000 | |
| Cr Tax expense | | | 2,000 |
| CJE3: Adjustment for excess depreciation | | | |
| Dr Accumulated depreciation | | 714 | |
| Cr Depreciation | | | 714 |
| Revised depreciation based on original cost | | 7,857 | (Note 1) |
| New depreciation | | 8,571 | (Note 2) |
| Excess depreciation | | (714) | |
| Note 1: Had the transfer not been made,the net book value as at 1 July 20x5 is ($200,000/10*5.5) | | | |
| or $110,000. With the change in the remaining useful life, the revised depreciation for half-year 20x5 | | | |
| is $110,000/7*0.5 or | $7,857 | | |
| Note 2: | New depreciation | 120000/7*0.5 = 8571 | |
| CJE4: Adjustment for tax on excess depreciation | | | |
| Dr Tax expense | | 143 | |
| Cr Deferred tax asset | | | 143 |
| CJE5: Income allocated to NCI | | | |
| Dr Non-controlling interests (P&L) | | 50,000 | |
| Cr Non-controlling interests (BS) | | | 50,000 |
| **Part (2) Subsidiary Co sold equipment to Parent Co** | | | |
| Same entries (CJE 1 to CJE 4) in part (1). | | | |
| CJE5: Income allocated to NCI | | | |
| Dr Non-controlling interests (P&L) | | 49,257 | |
| Cr Non-controlling interests (BS) | | | 49,257 |
| Profit after tax of S | | 500,000 | |
| Less profit on sale | | (10,000) | |
| Add tax on profit on sale | | 2,000 | |
| Add excess depreciation | | 714 | |
| Less tax on excess depreciation | | (143) | |
| Adjusted profit after tax of S | | 492,571 | |
| NCI @ 10% | | 49,257 | |

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| | | | |
|---|---|---|---|
| **(1) Consolidation adjustments for the year ended 31 December 20x5** | | | |
| ***CJE1: Elimination of investment in Y Co*** | | | |
| Dr Share capital | 500,000 | | |
| Dr Retained earnings | 600,000 | | |
| Dr Inventory | 50,000 | | |
| Dr Goodwill | 200,000 | | |
| Cr Deferred tax liability | | 10,000 | =20%*50000(inventory) |
| Cr Investment in Y Co | | 1,200,000 | |
| Cr Non-controlling interests | | 140,000 | |
| | 1,350,000 | 1,350,000 | |
| Determination of Goodwill: | | | |
| Purchase consideration by P Co | 1,200,000 | | |
| Fair value of Non-controlling interests | 140,000 | | |
| Fair value of Y Co | 1,340,000 | | |
| Less fair value of identifiable net assets | 1,140,000 | | |
| Goodwill | 200,000 | | |
| | | | |
| Parent's share of goodwill | 174,000 | 1200000-90%*1140000 | |
| Non-controlling interests' share of goodwill | 26,000 | 140000-10%*1140000 | |
| | 200,000 | | |
| ***CJE2: Sale of under-valued inventory*** | | | |
| Dr Opening RE | 45,000 | | |
| Dr Non-controlling interests | 5,000 | | |
| Cr Inventory | | 50,000 | |
| ***CJE3: Tax effects of CJE2*** | | | |
| Dr Deferred tax liability | 10,000 | | |
| Cr Opening RE | | 9,000 | |
| Cr Non-controlling interests | | 1,000 | |
| ***CJE4: Adjustment for unrealized profit on transfer of fixed assets*** | | | |
| *Reinstate to original cost and accumulated depreciation prior to transfer* | | | |
| Dr Gain on sale | 80,000 | | |
| Cr Fixed assets | | 20,000 | |
| Cr Accumulated depreciation | | 60,000 | |
| | Shd be | What is | Adjustmt |
| Fixed assets, cost | 100,000 | 120,000 | (20,000) |
| Accumulated depreciation | (60,000) | 0 | (60,000) |
| Net book value | 40,000 | 120,000 | (80,000) |
| ***CJE5: Adjustment for tax on unrealized profit on transfer of fixed assets*** | | | |
| Dr Deferred tax asset | 16,000 | | |
| Cr Tax expense | | 16,000 | |
| ***CJE6: Adjustment of current depreciation on transferred fixed asset*** | | | |
| Dr Accumulated depreciation | 40,000 | | |
| Cr Depreciation | | 40,000 | |
| Depreciation before transfer | | | 20,000 |
| Depreciation after transfer | | | 60,000 |
| Annual over-depreciation to be corrected (2004&20x5) | | | (40,000) |
| ***CJE7: Tax effects on CJE6*** | | | |
| Dr Tax expense | 8,000 | | |
| Cr Deferred tax asset | | 8,000 | |

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| | | | |
|---|---|---|---|
| ***CJE8: Allocate share of post-acq RE to NCI*** | | | |
| Dr Opening RE | 20,000 | | |
| Cr NCI (BS) | | 20,000 | |
| RE at 1 Jan 20x5 | | | 800,000 |
| RE at date of acquisition | | | 600,000 |
| Change in RE | | | 200,000 |
| NCI's share | | | 20,000 |
| | | | |
| ***CJE9: Eliminate dividends declared by Y Co*** | | | |
| Dr Dividend income | 126,000 | | |
| Dr Non-controlling interests | 14,000 | | |
| Cr Dividend declared | | 140,000 | |
| | | | |
| ***CJE10: Allocate share of current income to NCI*** | | | |
| Dr Income to NCI | 68,800 | | |
| Cr NCI (BS) | | 68,800 | |
| | | | |
| NPAT of Y Co | | | 720,000 |
| Less Gain on sale of FA | | | (80,000) |
| Add tax on gain on sale of FA | | | 16,000 |
| Add depreciation on gain on sale of FA | | | 40,000 |
| Less tax expense on gain on sale of FA | | | (8,000) |
| Adjusted NPAT | | | 688,000 |
| | | | |
| **(2) Analytical check of Non-controlling Interests:** | | | |
| Book value of net assets as at 31 Dec 20x5 | | 1,880,000 | |
| Adjustment for unrealized gain on FA (after-tax) | | (32,000) | |
| Adjusted net assets as at 31 Dec 20x5 | | 1,848,000 | |
| | | | |
| NCI's share | | 184,800 | |
| NCI's share of goodwill | | 26,000 | |
| NCI balance as at 31 Dec 20x5 | | 210,800 | |
| | | | |
| CJE1: NCI at date of acquisition | | 140,000 | |
| CJE2: Adjustment for sale of under-valued inventory | | (5,000) | |
| CJE3:Tax on adjustment for sale of under-valued inventory | | 1,000 | |
| CJE8: Share of post-acq RE | | 20,000 | |
| CJE9: Dividends received | | (14,000) | |
| CJE10: Allocate share of current income to NCI | | 68,800 | |
| NCI balance as at 31 Dec 20x5 | | 210,800 | |
| | | | |
| **(3) Conslidation adjustments that differ if NCI is measured as a proportion of identifiable net assets at acquisition date** | | | |
| | | | |
| CJE1: Elimination of investment in Y Co | | | |
| Dr Share capital | 500,000 | | |
| Dr Retained earnings | 600,000 | | |
| Dr Inventory | 50,000 | | |
| Dr Goodwill | 174,000 | | |
| Cr Deferred tax liability | | 10,000 | =20%*50000(inventory) |
| Cr Investment in Y Co | | 1,200,000 | |
| Cr Non-controlling interests | | 114,000 | |
| | 1,324,000 | 1,324,000 | |
| *Determination of Goodwill:* | | | |
| Purchase consideration by P Co | 1,200,000 | | |
| Fair value of Non-controlling interests | **114,000** | 10%*1140000 | |
| Fair value of Y Co | 1,340,000 | | |

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| | | | |
|---|---|---|---|
| Less fair value of identifiable net assets | 1,140,000 | | |
| Goodwill | 200,000 | | |
| | | | |
| (2) Analytical check of Non-controlling Interests: | | | |
| Book value of net assets as at 31 Dec 20x5 | | 1,880,000 | |
| Adjustment for unrealized gain on FA (after-tax) | | (32,000) | |
| Adjusted net assets as at 31 Dec 20x5 | | 1,848,000 | |
| | | | |
| NCI balance as at 31 Dec 20x5 | | 184,800 | 10%*1848000 |
| | | | |
| CJE1: NCI at date of acquisition | | 114,000 | |
| CJE2: Adjustment for sale of under-valued inventory | | (5,000) | |
| CJE3:Tax on adjustment for sale of under-valued inventory | | 1,000 | |
| CJE8: Share of post-acq RE | | 20,000 | |
| CJE9: Dividends received | | (14,000) | |
| CJE10: Allocate share of current income to NCI | | 68,800 | |
| NCI balance as at 31 Dec 20x5 | | 184,800 | |
| | | | |
| **(4) Analytical check on consolidated retained earnings** | | | |
| | | | |
| P Co's RE | | 2,600,000 | |
| P Co's share of Y Co's post-acquisition retained earnings | | 702,000 | 90%*(1380000-900000) |
| | | | |
| Share of cost of sales of under-valued inventory, after tax | | (36,000) | 90%*80%*50000 |
| Share of unrealized gain in fixed assets, after tax | | (28,800) | 90%*32000 |
| | | | |
| | | 3,237,200 | |
| | | | |
| Listings approach to reconstruct consolidated retained earnings | | | |
| P Co's RE | | 2,600,000 | |
| Y Co's RE | | 1,380,000 | |
| | | | |
| CJE1: Elimination of investment in Y Co | | (600,000) | |
| CJE2: Sale of under-valued inventory | | (45,000) | |
| CJE3: Tax effects of CJE2 | | 9,000 | |
| CJE4: Adjustment for unrealized profit on transfer of fixed assets | | (80,000) | |
| CJE5: Adjustment for tax on unrealized profit on transfer of fixed assets | | 16,000 | |
| CJE6: Adjustment of current depreciation on transferred fixed asset | | 40,000 | |
| CJE7: Tax effects on CJE6 | | (8,000) | |
| CJE8: Allocate share of post-acq RE to NCI | | (20,000) | |
| CJE9: Eliminate dividends declared by Y Co | | 14,000 | |
| CJE10: Allocate share of current income to NCI | | (68,800) | |
| | | | |
| | | 3,237,200 | 0 |

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| (1) Consolidation adjustments for the year ended 31 December 20x5 | | | |
|---|---|---|---|
| ***CJE1: Elimination of investment in Y Co*** | | | |
| Dr Share capital | 500,000 | | |
| Dr Retained earnings | 1,000,000 | (Inferred) | |
| Dr Intangible Asset | 100,000 | | |
| Dr Goodwill | 620,000 | | |
| Cr Deferred tax liability | | 20,000 | =20%*100000 |
| Cr Investment in Y Co | | 2,000,000 | |
| Cr Non-controlling interests | | 200,000 | |
| | 2,220,000 | 2,220,000 | |
| Determination of Goodwill: | | | |
| Purchase consideration by P Co | 2,000,000 | | |
| Fair value of Non-controlling interests | 200,000 | | |
| Fair value of Y Co | 2,200,000 | | |
| Less fair value of identifiable net assets | 1,580,000 | 1600000-20000 | |
| Goodwill | 620,000 | | |
| | | | |
| Parent's share of goodwill | 578,000 | 2000000-(90%*1580000) | |
| Non-controlling interests' share of goodwill | 42,000 | 200000-(10%*1580000) | |
| | 620,000 | | |
| | | | |
| ***CJE2: Amortization of intangible asset*** | | | |
| Dr Opening RE | 36,000 | (100K/5*2*0.9) | |
| Dr Non-controlling interests | 4,000 | (100K/5*2*0.1) | |
| Dr Amortization | 20,000 | | |
| Cr Accumulated amortization | | 60,000 | |
| | | | |
| ***CJE3: Tax effects of amortization of intangible asset*** | | | |
| Dr Deferred tax liability | 12,000 | | |
| Cr Opening RE | | 7,200 | |
| Cr Non-controlling interests | | 800 | |
| Cr Tax expense | | 4,000 | |
| | | | |
| ***CJE4: Adjustment for unrealized profit on transfer of fixed assets (upstream sale)*** | | | |
| *Reinstate to original cost and accumulated depreciation prior to transfer* | | | |
| Dr Opening retained earnings | 57,600 | | |
| Dr Non-controlling interests | 6,400 | | |
| Dr Fixed assets | 20,000 | | |
| Cr Accumulated depreciation | | 84,000 | |
| | Shd be | What is | Adjustmt |
| Fixed assets, cost | 140,000 | 120,000 | 20,000 |
| Accumulated depreciation | (84,000) | - | (84,000) |
| Net book value | 56,000 | 120,000 | (64,000) |
| | | | |
| ***CJE5: Adjustment for tax on unrealized profit on transfer of fixed assets (upstream sale)*** | | | |
| Dr Deferred tax asset | 12,800 | | |
| Cr Opening retained earnings | | 11,520 | |
| Cr Non-controlling interests | | 1,280 | |
| | | | |
| ***CJE6: Adjustment of past and current depreciation on transferred fixed asset (upstream sale)*** | | | |
| Dr Accumulated depreciation | 48,000 | | |
| Cr Depreciation | | 32,000 | |
| Cr Opening retained earnings | | 14,400 | (16K*0.9) |
| Cr Non-controlling interests | | 1,600 | (16K*0.1) |
| Depreciation before transfer | | | 28,000 |
| Depreciation after transfer | | | 60,000 |
| Annual over-depreciation to be corrected (20x5) | | | (32,000) |
| Half-year over depreciation for past period for 20x4 (1.7.04 to 31.12.04) | | | (16,000) |

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| | | | |
|---|---|---|---|
| ***CJE7: Tax effects on CJE6*** | | | |
| Dr Tax expense | 6,400 | | |
| Dr Opening retained earnings | 2,880 | | |
| Dr Non-controlling interests | 320 | | |
| Cr Deferred tax asset | | 9,600 | |
| | | | |
| ***CJE8: Allocate share of post-acq RE to NCI*** | | | |
| Dr Opening RE | 50,000 | | |
| Cr NCI (BS) | | 50,000 | |
| RE at 1 Jan 20x5 | | | 1,500,000 |
| RE at date of acquisition | | | 1,000,000 |
| Change in RE | | | 500,000 |
| NCI's share | | | 50,000 |
| | | | |
| ***CJE9: Eliminate dividends declared by Y Co*** | | | |
| Dr Dividend income | 180,000 | | |
| Dr Non-controlling interests | 20,000 | | |
| Cr Dividend declared | | 200,000 | |
| | | | |
| ***CJE10: Adjust unrealized profit from beginning inventory*** | | | |
| Dr Opening RE | 18,000 | (90%*40%*50K) | |
| Dr Non-controlling interests | 2,000 | (10%*40%*50K) | |
| Cr Cost of sales | | 15,000 | (30%*50K) |
| Cr Inventory | | 5,000 | (10%*50K) |
| | | | |
| ***CJE11: Adjust tax on unrealized profit in beginning inventory in CJE 10*** | | | |
| Dr Tax expense | 3,000 | (20%*15K) | |
| Dr Deferred tax asset | 1,000 | (20%*5K) | |
| Cr Opening RE | | 3,600 | (20%*18K) |
| Cr Non-controlling interests | | 400 | (20%*2K) |
| | | | |
| ***CJE12: Adjustment for unrealized loss on upstream sale in current year*** | | | |
| Dr Sales | 350,000 | | |
| Cr Cost of sales | | 350,000 | |
| | | | |
| ***CJE13: Allocate share of current income to NCI*** | | | |
| Dr Income to NCI | 106,160 | | |
| Cr NCI (BS) | | 106,160 | |
| | | | |
| NPAT of Y Co | | | 1,040,000 |
| Add realized profit from 20x4 | | | 15,000 |
| Less tax on realized profit from 20x4 | | | (3,000) |
| Less amortization on intangible asset (fair value adjustment) | | | (20,000) |
| Add tax on amortization on intangible asset | | | 4,000 |
| Add back depreciation expense on transferred asset | | | 32,000 |
| Less tax on depreciation expense on transferred asset | | | (6,400) |
| Adjusted NPAT | | | 1,061,600 |

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| | | | |
|---|---|---|---|
| **(2) Analytical check of Non-controlling Interests:** | | | |
| Book value of net assets as at 31 Dec 20x5 | | 2,840,000 | |
| Unamortized (after-tax) balance of intangible asset | | 32,000 | 80%*40K |
| Less unrealized profit (after-tax) on unsold inventory | | (4,000) | 80%*5K |
| Unrealized profit (undepreciated balance) on fixed asset | | (12,800) | 80%*16,000 |
| Adjusted net assets as at 31 Dec 20x5 | | 2,855,200 | |
| NCI's share | | 285,520 | |
| NCI's share of goodwill as at 31 Dec 20x5 | | 42,000 | |
| | | 327,520 | |
| | | | |
| CJE1: NCI at date of acquisition | | 200,000 | |
| CJE2: Adjustment for amortization of intangible asset | | (4,000) | |
| CJE3: Tax effects of past amortization of intangible asset | | 800 | |
| CJE4: Adjustment for unrealized profit on fixed asset transfer | | (6,400) | |
| CJE5: Adjustment for tax on unrealized profit on fixed asset | | 1,280 | |
| CJE6: Adjustment for past excess depreciation on fixed asset | | 1,600 | |
| CJE7: Adjustment for tax on CJE6 | | (320) | |
| CJE8: Share of post-acquisition retained earnings | | 50,000 | |
| CJE9: Dividends received | | (20,000) | |
| CJE10: Less unrealized profit from beginning inventory | | (2,000) | |
| CJE11: Tax on unrealized profit in beginning inventory | | 400 | |
| CJE13: Allocate share of current income to NCI | | 106,160 | |
| NCI balance as at 31 Dec 20x5 | | 327,520 | |
| | | | |
| **(3) Non-controlling interests as a proportion of identifiable net assets** | | | |
| | | | |
| CJE1: Elimination of investment in Y Co | | | |
| Dr Share capital | 500,000 | | |
| Dr Retained earnings | 1,000,000 | (Inferred) | |
| Dr Intangible Asset | 100,000 | | |
| Dr Goodwill | 578,000 | | |
| Cr Deferred tax liability | | 20,000 | =20%*100000 |
| Cr Investment in Y Co | | 2,000,000 | |
| Cr Non-controlling interests | | 158,000 | |
| | 2,178,000 | 2,178,000 | |
| Determination of Goodwill: | | | |
| Purchase consideration by P Co | 2,000,000 | | |
| **Fair value of Non-controlling interests** | **158,000** | **10%*1580000** | |
| Fair value of Y Co | 2,158,000 | | |
| Less fair value of identifiable net assets | 1,580,000 | 1600000-20000 | |
| Goodwill | 578,000 | | |
| | | | |
| Parent's share of goodwill | 578,000 | 2000000-(90%*1580000) | |
| | | | |
| | | | |
| **Analytical check of Non-controlling Interests:** | | | |
| Book value of net assets as at 31 Dec 20x5 | | 2,840,000 | |
| Unamortized (after-tax) balance of intangible asset | | 32,000 | 80%*40K |
| Less unrealized profit (after-tax) on unsold inventory | | (4,000) | 80%*5K |
| Unrealized profit (undepreciated balance) on fixed asset | | (12,800) | 80%*16,000 |
| Adjusted net assets as at 31 Dec 20x5 | | 2,855,200 | |
| NCI's balance as at 31 December 20x5 | | 285,520 | 10%*2855200 |
| | | | |
| CJE1: NCI at date of acquisition | | 158,000 | |
| CJE2: Adjustment for amortization of intangible asset | | (4,000) | |
| CJE3: Tax effects of past amortization of intangible asset | | 800 | |
| CJE4: Adjustment for unrealized profit on fixed asset transfer | | (6,400) | |
| CJE5: Adjustment for tax on unrealized profit on fixed asset | | 1,280 | |

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| | |
|---|---|
| CJE6: Adjustment for past excess depreciation on fixed asset | 1,600 |
| CJE7: Adjustment for tax on CJE6 | (320) |
| CJE8: Share of post-acquisition retained earnings | 50,000 |
| CJE9: Dividends received | (20,000) |
| CJE10: Less unrealized profit from beginning inventory | (2,000) |
| CJE11: Tax on unrealized profit in beginning inventory | 400 |
| CJE13: Allocate share of current income to NCI | 106,160 |
| NCI balance as at 31 Dec 20x5 | 285,520 |

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**(1) Difference in the accounting for R&D expenditures on acquisition**

| | Legal entity IAS 38 | Economic entity IFRS 3 |
|---|---|---|
| *At acquisition date* | | |
| Research to date | Expensed off | At fair value on acquisition |
| Development to date | Capitalized if meet certain criteria | At fair value on acquisition |
| *Subsequent expenditures* | | |
| *At acquisition date* | | |
| Research | Expensed off | Expensed off |
| Development | Capitalized if meet certain criteria | Capitalized if meet certain criteria |

**(2) Consolidation entries for 20x6**

***CJE1: Elimination of investment***

| | | |
|---|---|---|
| Dr Share capital | 1,000,000 | |
| Dr Retained earnings | 520,000 | |
| Dr OCI | 300,000 | |
| Dr Intangible asset | 1,500,000 | |
| Dr Goodwill | 920,000 | |
| Cr Deferred tax liability | | 300,000 |
| Cr Investment in Topaz Co | | 3,600,000 |
| Cr Non-controlling interests | | 340,000 |
| | 4,240,000 | 4,240,000 |
| NCI's share of goodwill | | 38,000 |

***CJE2: Adjustment for amortization of the intangible asset***

| | | |
|---|---|---|
| Dr Amortization | 150,000 | |
| Cr Accumulated amortization | | 150,000 |

***CJE3: Tax effects of CJE2***

| | | |
|---|---|---|
| Dr DTL | 30,000 | |
| Cr Tax expense | | 30,000 |

***CJE4: Adjustment for unrealized profit on transfer of fixed assets***

*Reinstate to original cost and accumulated depreciation prior to transfer*

| | | |
|---|---|---|
| Dr Opening RE | 576,000 | |
| Dr Non-controlling interests | 64,000 | |
| Cr Fixed assets | | 400,000 |
| Cr Accumulated depreciation | | 240,000 |

| | Shd be | What is | Adjustmt |
|---|---|---|---|
| Fixed assets, cost | 800,000 | 1,200,000 | (400,000) |
| Accumulated depreciation | (240,000) | 0 | (240,000) |
| Net book value | 560,000 | 1,200,000 | (640,000) |

***CJE5: Adjustment for tax on unrealized profit on transfer of fixed assets***

| | | |
|---|---|---|
| Dr Deferred tax asset | 128,000 | |
| Cr Opening RE | | 115,200 |
| Cr NCI | | 12,800 |

***CJE6: Adjustment of past depreciation on transferred fixed asset***

| | | | |
|---|---|---|---|
| Dr Accumulated depreciation | 80,000 | | |
| Cr Opening RE | | 72,000 | |
| Cr NCI | | 8,000 | |
| Depreciation before transfer | 560000/4*1/2 | | 70,000 |

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| | | | | |
|---|---|---|---|---|
| Depreciation after transfer | 1200000/4*1/2 | | | 150,000 |
| Past over-depreciation to be corrected | 640000/4*1/2 | | | (80,000) |
| | | | | |
| ***CJE7: Tax effects on CJE6*** | | | | |
| Dr ORE | | 14,400 | | |
| Dr NCI | | 1,600 | | |
| Cr Deferred tax asset | | | 16,000 | |
| | | | | |
| ***CJE8: Adjustment of current depreciation on transferred fixed asset*** | | | | |
| Dr Accumulated depreciation | | 160,000 | | |
| Cr Depreciation | | | 160,000 | |
| Depreciation before transfer | | | | 140,000 |
| Depreciation after transfer | | | | 300,000 |
| Annual over-depreciation to be corrected | 640000/4 | | | (160,000) |
| | | | | |
| ***CJE9: Tax effects on CJE8*** | | | | |
| Dr Tax expense | | 32,000 | | |
| Cr Deferred tax asset | | | 32,000 | |
| | | | | |
| ***CJE10: Allocate share of post-acq RE to NCI*** | | | | |
| Dr NCI | | 4,000 | | |
| Cr Opening RE | | | 4,000 | |
| RE at 1 Jan 20x6 | | | | 480,000 |
| RE at date of acquisition | | | | 520,000 |
| Change in RE | | | | (40,000) |
| NCI's share | | | | (4,000) |
| | | | | |
| ***CJE11: Eliminate dividends declared by Topaz Co*** | | | | |
| Dr Dividend income | | 108,000 | | |
| Dr Non-controlling interests | | 12,000 | | |
| Cr Dividends declared | | | 120,000 | |
| | | | | |
| ***CJE12: Allocate share of current income to NCI*** | | | | |
| Dr Income to NCI | | 184,800 | | |
| Cr NCI (BS) | | | 184,800 | |
| NPAT of Topaz Co | | | | 1,840,000 |
| Less amortization of intangible asset | | | | (150,000) |
| Add tax on amortization | | | | 30,000 |
| Add depreciation on gain on sale of FA | | | | 160,000 |
| Less tax expense on gain on sale of FA | | | | (32,000) |
| Adjusted NPAT | | | | 1,848,000 |
| | | | | |
| ***CJE13: Elimination of sale from P Co to Topaz Co*** | | | | |
| Dr Sales | | 360,000 | | |
| Cr Inventory | | | 32,000 | |
| Cr Cost of Sales | | | 328,000 | |
| | | | | |
| ***CJE14: Tax effects of CJE13*** | | | | |
| Dr Deferred tax asset | | 6,400 | | |
| Cr Tax expense | | | 6,400 | |
| | | | | |
| ***CJE16: Allocation of OCI to NCI*** | | | | |
| Dr NCI | | 14,200 | | |
| Cr OCI | | | 14,200 | |
| OCI as at 1 Jan 20x6 | | | | 158,000 |
| OCI as at acquisition date | | | | 300,000 |
| Change in OCI | | | | (142,000) |

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***CJE17: Allocation of current OCI to NCI***

| | | |
|---|---|---|
| Dr Current OCI | 29,200 | |
| Cr NCI | | 29,200 |

***CJE18: Elimination of intercompany payable and receivable***

| | | |
|---|---|---|
| Dr Amount due to Topaz Co | 67,000 | |
| Cr Amount due from P Co | | 67,000 |

**(3) Analytical check of Non-controlling Interests:**

| | | |
|---|---|---|
| Book value of net assets as at 31 Dec 20x6 | | 3,650,000 |
| Add unamortized balance of intangible asset | 1500000*9/10*80% | 1,080,000 |
| Less unrealized profit in fixed assets | 640000/4*2.5*80% | (320,000) |
| | | 4,410,000 |
| NCI's share | | 441,000 |
| NCI's share of goodwill | Note 1 | 38,000 |
| NCI at year-end | | 479,000 |

Note 1 340000-10%*(1820000+1500000-300000)

| | |
|---|---|
| CJE1: Elimination of investment | 340,000 |
| CJE4: Adjustment for unrealized profit on transfer of fixed assets | (64,000) |
| CJE5: Adjustment for tax on unrealized profit on transfer of fixed assets | 12,800 |
| CJE6: Adjustment of past depreciation on transferred fixed asset | 8,000 |
| CJE7: Tax effects on CJE6 | (1,600) |
| CJE10: Allocate share of post-acq RE to NCI | (4,000) |
| CJE11: Eliminate dividends declared by Topaz Co | (12,000) |
| CJE12: Allocate share of current income to NCI | 184,800 |
| CJE16: Allocation of OCI to NCI | (14,200) |
| CJE17: Allocation of current OCI to NCI | 29,200 |
| NCI balance as at 31 Dec 20x6 | 479,000 |

**(4) Analytical check on consolidated retained earnings**

| | | |
|---|---|---|
| P Co's RE | | 5,000,000 |
| P's share of Topaz' post-acquisition RE | 90%*(2200000-520000 | 1,512,000 |
| Share of amortization of intangible asset, after tax | 90%*80%*150000 | (108,000) |
| Share of unrealized profit on equipment, after tax | 90%*320000 | (288,000) |
| Unrealized profit in inventory, after tax, from downstream transfer | 80%*32000 | (25,600) |
| Consolidated retained earnings | | 6,090,400 |

| | |
|---|---|
| P Co's RE | 5,000,000 |
| Topaz' RE | 2,200,000 |
| CJE1: Elimination of investment | (520,000) |
| CJE2: Adjustment for amortization of the intangible asset | (150,000) |
| CJE3: Tax effects of CJE2 | 30,000 |
| CJE4: Adjustment for unrealized profit on transfer of fixed assets | (576,000) |
| CJE5: Adjustment for tax on unrealized profit on transfer of fixed assets | 115,200 |
| CJE6: Adjustment of past depreciation on transferred fixed asset | 72,000 |
| CJE7: Tax effects on CJE6 | (14,400) |
| CJE8: Adjustment of current depreciation on transferred fixed asset | 160,000 |
| CJE9: Tax effects on CJE8 | (32,000) |
| CJE10: Allocate share of post-acq RE to NCI | 4,000 |
| CJE11: Eliminate dividends declared by Topaz Co | 12,000 |
| CJE12: Allocate share of current income to NCI | (184,800) |
| CJE13: Elimination of sale from P Co to Topaz Co | (32,000) |
| CJE14: Tax effects of CJE13 | 6,400 |

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| | |
|---|---|
| | 6,090,400 |
| | 0 |

**Part (5)** If the fair value of remaining inventory was 130,000
how would the consolidation adjustment be affected

| | Topaz Co's bks | Group |
|---|---|---|
| Remaining inventory | 144,000 | 112,000 |
| Fair value | 130,000 | 130,000 |
| Write down | 14,000 | 0 |
| | | |
| ***CJE13A: Elimination of sale from P Co to Topaz Co*** | | |
| Dr Sales | 360,000 | |
| Cr Inventory | | 18,000 |
| Cr Cost of Sales | | 342,000 |
| | | |
| ***CJE14A: Tax effects of CJE13A*** | | |
| Dr Deferred tax asset | 3,600 | |
| Cr Tax expense | | 3,600 |

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## (1) Consolidation entries for 20x6

***CJE1: Elimination of investment in X Co***

| | | |
|---|---|---|
| Dr Share capital | 600,000 | |
| Dr Retained earnings | 120,000 | |
| Dr Fixed assets | 120,000 | |
| Dr Goodwill | 504,000 | |
| Cr Deferred tax liability | | 24,000 |
| Cr Investment in X | | 1,200,000 |
| Cr Non-controlling interests | | 120,000 |
| | 1,344,000 | 1,344,000 |

***CJE2: Depreciation of fixed assets***

| | | |
|---|---|---|
| Dr Opening RE | 54,000 | |
| Dr Non-controlling interests | 6,000 | |
| Dr Depreciation | 12,000 | |
| Cr Accumulated depreciation | | 72,000 |

***CJE3: Tax effects of CJE2***

| | | |
|---|---|---|
| Dr Deferred tax liability | 14,400 | |
| Cr Opening RE | | 10,800 |
| Cr Non-controlling interests | | 1,200 |
| Cr Tax expense | | 2,400 |

***CJE4: Adjustment for unrealized profit on transfer of fixed assets***

*Reinstate to original cost and accumulated depreciation prior to transfer*

| | | |
|---|---|---|
| Dr Profit on sale | 164,800 | |
| Cr Fixed assets | | 40,000 |
| Cr Accumulated depreciation | | 124,800 |

| | Shd be | What is | Adjustmt |
|---|---|---|---|
| Fixed assets, cost | 260,000 | 300,000 | (40,000) |
| Accumulated depreciation | (124,800) | 0 | (124,800) |
| Net book value | 135,200 | 300,000 | (164,800) |

***CJE5: Adjustment for tax on unrealized profit on transfer of fixed assets***

| | | |
|---|---|---|
| Dr Deferred tax asset | 32,960 | |
| Cr Tax expense | | 32,960 |

***CJE6: Adjustment of current depreciation of transferred fixed asset***

| | | | |
|---|---|---|---|
| Dr Accumulated depreciation | 54,933 | | |
| Cr Depreciation | | 54,933 | |
| Depreciation before transfer | | | 45,067 |
| Depreciation after transfer | | | 100,000 |
| Annual over-depreciation to be corrected (20x6) | | 164800/3 | (54,933) |

***CJE7: Tax effects on CJE6***

| | | |
|---|---|---|
| Dr Tax expense | 10,987 | |
| Cr Deferred tax asset | | 10,987 |

***CJE8: Allocate share of post-acq RE to NCI***

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| | | | |
|---|---|---|---|
| Dr Opening RE | 8,000 | | |
| Cr NCI (BS) | | 8,000 | |
| RE at 1 Jan 20x6 | | | 200,000 |
| RE at date of acquisition | | | 120,000 |
| Change in RE | | | 80,000 |
| NCI's share | | | 8,000 |

***CJE9: Eliminate dividends declared by X Co***

| | | | |
|---|---|---|---|
| Dr Dividend income | 130,500 | | |
| Dr Non-controlling interests | 14,500 | | |
| Cr Dividend declared | | 145,000 | |

***CJE10: Eliminate downstream sale***

| | | | |
|---|---|---|---|
| Dr Sales | 50,000 | | |
| Dr Inventory | 1,800 | 60%*(50000-53000) | |
| Cr Cost of sales | | 51,800 | |
| | Legal entity | Group | Difference |
| NRV | 31,800 | 31,800 | |
| Cost | 30,000 | 36,000 | |
| LCNRV | 30,000 | 31,800 | -1,800 |

***CJE11: Tax effects of CJE10***

| | | | |
|---|---|---|---|
| Dr Tax expense | 360 | | |
| Cr DTL | | 360 | |

***CJE12: Allocate share of current income to NCI***

| | | | |
|---|---|---|---|
| Dr Income to NCI | 59,851 | | |
| Cr NCI (BS) | | 59,851 | |
| NPAT of X Co | | | 696,000 |
| Less depreciation of fixed assets | | | (12,000) |
| Add tax on depreciation of fixed assets | | | 2,400 |
| Less profit on transfer of fixed assets | | | (164,800) |
| Add tax on profit on transfer of fixed assets | | | 32,960 |
| Add correction of excess depreciation | | | 54,933 |
| Less tax on excess depreciation | | | (10,987) |
| Adjusted NPAT | | | 598,507 |

***CJE13: Elimination of intercompany balances***

| | | | |
|---|---|---|---|
| Dr Intercompany payable | 65,000 | | |
| Cr Intercompany receivable | | 65,000 | |

**(2) Analytical check of Non-controlling interests**

| | | |
|---|---|---|
| Book value of net assets as at 31 Dec 20x6 | 1,351,000 | |
| Adjustment for unrealized profit on fixed assets | (87,893) | 164800/3*2*80% |
| Adjusted net assets as at 31 Dec 20x5 | 1,263,107 | |
| NCI's share of net assets | 126,311 | |
| NCI's share of undepreciated fixed assets | 3,840 | |
| NCI's share of goodwill | 38,400 | |
| NCI balance as at 31 Dec 20x6 | 168,551 | |

Note 1: 120000*3/6*4/5*80%*10%

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Note 2: 120000-10%*(840000-24000)

| | |
|---|---|
| CJE1: Elimination of investment in X Co | 120,000 |
| CJE2: Depreciation of fixed assets | (6,000) |
| CJE3: Tax effects of CJE2 | 1,200 |
| CJE8: Allocate share of post-acq RE to NCI | 8,000 |
| CJE9: Eliminate dividends declared by X Co | (14,500) |
| CJE12: Allocate share of current income to NCI | 59,851 |
| NCI balance as at 31 Dec 20x6 | 168,551 |

**(3) Analytically derive the following balances**

(a) Consolidated fixed assets

Analytical approach

| | |
|---|---|
| P Co | 2,780,000 |
| X Co | 1,200,000 |
| Add undepreciated excess of under-valued fixed assets | 48,000 |
| Less unrealized profit on transferred fixed assets | (109,867) |
| | 3,918,133 |

Compilation of Fixed assets

| | |
|---|---|
| P Co | 2,780,000 |
| X Co | 1,200,000 |
| CJE1: Elimination of investment in X Co | 120,000 |
| CJE2: Depreciation of fixed assets | (72,000) |
| CJE4: Adjustment for unrealized profit on transfer of fixed assets | (164,800) |
| CJE6: Adjustment of current depreciation of transferred fixed asset | 54,933 |
| | 3,918,133 |

(b) Consolidated Inventory

Analytical approach

| | | |
|---|---|---|
| P Co | | 350,000 |
| X Co | | 200,000 |
| Unrealized profit in inventory | Note 1 | 1,800 |
| | | 551,800 |

Note 1: 60%*(53000-50000)

Compilation of inventory

| | |
|---|---|
| P Co | 350,000 |
| X Co | 200,000 |
| CJE10: Eliminate downstream sale | 1,800 |
| | 551,800 |

(c) Consolidated retained earnings as at 1 January 20x6

Analytical approach

| | |
|---|---|
| P Co | 1,890,000 |
| *Adjustments* | |
| Post-acquisition retained earnings attributable to P Co | 72000 |
| After-tax depreciation on under-valued fixed assets (Note 2) | (43,200) |
| | 1,918,800 |

Note 1: 90%* (200000-120000)

Note 2: (340000-220000)*3/6*80%*90%

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The change in useful life affects depreciation for 20x6 onwards

Compilation of retained earnings as at 1 January 20x6

| | |
|---|---|
| P Co | 1,890,000 |
| X Co | 200,000 |
| CJE1: Elimination of investment in X Co | (120,000) |
| CJE2: Depreciation of fixed assets | (54,000) |
| CJE3: Tax effects of CJE2 | 10,800 |
| CJE8: Allocate share of post-acq RE to NCI | (8,000) |
| | 1,918,800 |

(d) Consolidated retained earnings as at 31 December 20x6
Analytical approach

| | | |
|---|---|---|
| P Co | | 3,590,000 |
| *Adjustments relating to P's share* | | |
| Post-acquisition retained earnings attributable to P Co | | 567,900 |
| After-tax depreciation on under-valued fixed assets | (Note 2) | (51,840) |
| After-tax unrealized profit on fixed assets | (Note 3) | (79,104) |
| After-tax unrealized loss in inventory | (Note 4) | 1,440 |
| | | 4,028,396 |

Note 1: 90%* (751000-120000)
Note 2: 90%*80%*((0.5*120000)+(120000*0.5*0.2))
Note 3: (300000-260000+124800)/3*2*80%*90%
Note 4: 80%*1800

Compilation of retained earnings as at 31 December 20x6

| | |
|---|---|
| P Co | 3,590,000 |
| X Co | 751,000 |
| CJE1: Elimination of investment in X Co | (120,000) |
| CJE2: Depreciation of fixed assets | (66,000) |
| CJE3: Tax effects of CJE2 | 13,200 |
| CJE4: Adjustment for unrealized profit on transfer of fixed assets | (164,800) |
| CJE5: Adjustment for tax on unrealized profit on transfer of fixed assets | 32,960 |
| CJE6: Adjustment of current depreciation of transferred fixed asset | 54,933 |
| CJE7: Tax effects on CJE6 | (10,987) |
| CJE8: Allocate share of post-acq RE to NCI | (8,000) |
| CJE9: Eliminate dividends declared by X Co | 14,500 |
| CJE10: Eliminate downstream sale | 1,800 |
| CJE11: Tax effects of CJE10 | (360) |
| CJE12: Allocate share of current income to NCI | (59,851) |
| | 4,028,396 |

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***Part (1): Cost of warehouse for the legal and economic entity***

| | Legal entity | Economic entity | Difference | After tax |
|---|---|---|---|---|
| 1 October 20x6 | 3,500,000 | 3,500,000 | | |
| Less capitalized internal interest | | | | |
| 20x5 | | (200,000) | | |
| 20x6 | | (150,000) | | |
| Add third party interest | | | | |
| 20x5 | | 120,000 | | |
| 20x6 | | 80,000 | | |
| (i) Cost of warehouse | 3,500,000 | 3,350,000 | | |
| 31 Dec 20› Depreciation Oct-Dec 20x6 | (43,750) | (41,875) | | |
| (ii) Net book value | 3,456,250 | 3,308,125 | (148,125) | (118,500) |

***Part (2): Consolidation entries for 20x6***

***CJE1: Elimination of investment in X Co***

| | | | |
|---|---|---|---|
| Dr Share capital | 500,000 | | |
| Dr Retained earnings | 400,000 | | |
| Dr Fixed assets | 120,000 | | |
| Dr Goodwill | 322,000 | | |
| Cr Deferred tax liability | | 24,000 | |
| Cr Investment in X | | 1,200,000 | |
| Cr Non-controlling interests | | 118,000 | |
| | 1,342,000 | 1,342,000 | |

***CJE2: Accumulated depreciation***

| | | | |
|---|---|---|---|
| Dr Opening RE | 54,000 | Note 1 | |
| Dr Non-controlling interests | 6,000 | Note 2 | |
| Dr Depreciation | 20,000 | | |
| Cr Accumulated depreciation | | 80,000 | |
| | 80,000 | | |

Note 1 (120000/6*3*90%)
Note 2 (120000/6*3*0.1)

***CJE3: Tax effects of CJE2***

| | | | |
|---|---|---|---|
| Dr Deferred tax liability | 16,000 | | |
| Cr Opening RE | | 10,800 | |
| Cr Non-controlling interests | | 1,200 | |
| Cr Tax expense | | 4,000 | |

***CJE4: Adjustment for capitalized interest in fixed assets***

| | | | |
|---|---|---|---|
| Dr Opening RE | 180,000 | 200000*90% | |
| Dr NCI | 20,000 | 200000*10% | |
| Dr Interest income | 180,000 | | |
| Cr Fixed assets | | 350,000 | |
| Cr Interest expense | | 30,000 | |

***CJE5: Adjustment for tax on CJE4***

| | | | |
|---|---|---|---|
| Dr Deferred tax asset | 70,000 | | |
| Cr Opening RE | 20%*180000 | 36,000 | |
| Cr NCI | 20%*20000 | 4,000 | |
| Cr Tax expense | 20%*150000 | 30,000 | |

***CJE6: Adjustment of current depreciation of transferred fixed asset***

| | | | |
|---|---|---|---|
| Dr Accumulated depreciation | 4,375 | 350000/20*1/4 | |
| Cr Depreciation | | 4,375 | |

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***CJE7: Tax effects on CJE6***

| | | | |
|---|---|---|---|
| Dr Tax expense | | 875 | |
| Cr Deferred tax asset | | | 875 |

***CJE8: Recognition of capitalized third party interest in warehouse***

| | | | |
|---|---|---|---|
| Dr Fixed assets | | 200,000 | |
| Cr Interest expense | | | 80,000 |
| Cr Opening RE | | | 108,000 |
| Cr NCI | | | 12,000 |

***CJE9: Tax effects of CJE8***

| | | | |
|---|---|---|---|
| Dr Opening RE | | 21,600 | |
| Dr NCI | | 2,400 | |
| Dr Tax expense | | 16,000 | |
| Cr DTA | | | 40,000 |

***CJE10: Depreciation on capitalized interest***

| | | | |
|---|---|---|---|
| Dr Depreciation | | 2,500 | 200000/20*0.25 |
| Cr Accumulated depreciation | | | 2,500 |

***CJE11: Tax effects on CJE10***

| | | | |
|---|---|---|---|
| Dr DTA | | 500 | |
| Cr Tax expense | | | 500 |

***CJE12: Allocate share of post-acq RE to NCI***

| | | | |
|---|---|---|---|
| Dr Opening RE | | 25,000 | |
| Cr NCI (BS) | | | 25,000 |
| RE at 1 Jan 20x6 | | | 650,000 |
| RE at date of acquisition | | | 400,000 |
| Change in RE | | | 250,000 |
| NCI's share | | | 25,000 |

***CJE13: Eliminate dividends declared by X Co***

| | | | |
|---|---|---|---|
| Dr Dividend income | | 81,000 | |
| Dr Non-controlling interests | | 9,000 | |
| Cr Dividend declared | | | 90,000 |

***CJE14: Unrealized profit at beginning of the year***

| | | | |
|---|---|---|---|
| Dr Opening RE | 60%*90%*15000 | 8,100 | |
| Dr NCI | 60%*10%*15000 | 900 | |
| Cr COS | 50%*15000 | | 7,500 |
| Cr Inventory | 10%*15000 | | 1,500 |

***CJE15: Tax on unrealized profit at beginning of the year***

| | | | |
|---|---|---|---|
| Dr Tax expense | 20%*7500 | 1,500 | |
| Dr DTA | 20%*1500 | 300 | |
| Cr Opening RE | 20%*8100 | | 1,620 |
| Cr NCI | 20%*900 | | 180 |

***CJE16: Allocate share of current income to NCI***

| | | | |
|---|---|---|---|
| Dr Income to NCI | | 57,550 | |
| Cr NCI (BS) | | | 57,550 |
| NPAT of X Co | | | 640,000 |
| Less current depreciation on fixed asset | | | (20,000) |
| Add tax on current depreciation | | | 4,000 |
| Less interest income capitalized | | | (150,000) |
| Add tax on capitalized interest | | | 30,000 |
| Add external interest income capitalized | | | 80,000 |
| Less tax on capitalized interest | | | (16,000) |

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| | | | |
|---|---|---|---|
| Add correction of excess depreciation | | | 4,375 |
| Less tax on excess depreciation | | | (875) |
| Less depreciation on capitalized interest | | | (2,500) |
| Add tax on depreciation | | | 500 |
| Add realized profit | | | 7,500 |
| Less tax on realized profit | | | (1,500) |
| Adjusted NPAT | | | 575,500 |

***CJE17: Elimination of loan payable***

| | | |
|---|---|---|
| Dr Loan payable | 1,000,000 | |
| Cr Loan receivable | | 1,000,000 |

***Part (3): Analytical check of Non-controlling interests :***

| | | | |
|---|---|---|---|
| Book value of net assets as at 31 Dec 20x6 | | 1,700,000 | |
| Adjustment for unrealized profit in fixed assets | | (118,500) | Note 1 |
| Adjustment for unrealized profit in inventory | | (1,200) | Note 2 |
| Remaining balance of intangible asset | | 32,000 | Note 3 |
| Adjusted net assets as at 31 Dec 20x5 | | 1,612,300 | |
| NCI's share of net assets | | 161,230 | |
| NCI's share of goodwill | | 18,400 | Note 4 |
| NCI balance as at 31 Dec 20x6 | | 179,630 | |

Note 1 (350000-200000)*19.75/20*80%
Note 2 15000*10%*80%
Note 3 (600000-480000)*80%*2/6
Note 4 118000-10%*(1020000-24000)

| | | | |
|---|---|---|---|
| CJE1: Elimination of investment in X Co | | 118,000 | |
| CJE2: Accumulated depreciation | | (6,000) | |
| CJE3: Tax effects of CJE2 | | 1,200 | |
| CJE4: Adjustment for capitalized interest in fixed assets | | (20,000) | |
| CJE5: Adjustment for tax on CJE4 | | 4,000 | |
| CJE8: Recognition of capitalized third party interest in warehouse | | 12,000 | |
| CJE9: Tax effects of CJE8 | | (2,400) | |
| CJE12: Allocate share of post-acq RE to NCI | | 25,000 | |
| CJE13: Eliminate dividends declared by X Co | | (9,000) | |
| CJE14: Unrealized profit at beginning of the year | | (900) | |
| CJE15: Tax on unrealized profit at beginning of the year | | 180 | |
| CJE16: Allocate share of current income to NCI | | 57,550 | |
| NCI balance as at 31 Dec 20x6 | | 179,630 | 0 |

**Part (4): Analytical check on following balances**
**(i) Consolidated RE at 31 Dec 20x6**

| | |
|---|---|
| Listings approach: | |
| P's RE | 2,860,000 |
| X's RE | 1,200,000 |
| CJE1: Elimination of investment in X Co | (400,000) |
| CJE2: Accumulated depreciation | (74,000) |
| CJE3: Tax effects of CJE2 | 14,800 |
| CJE4: Adjustment for capitalized interest in fixed assets | (330,000) |
| CJE5: Adjustment for tax on CJE4 | 66,000 |
| CJE6: Adjustment of current depreciation of transferred fixed asset | 4,375 |
| CJE7: Tax effects on CJE6 | (875) |
| CJE8: Recognition of capitalized third party interest in warehouse | 188,000 |
| CJE9: Tax effects of CJE8 | (37,600) |
| CJE10: Depreciation on capitalized interest | (2,500) |
| CJE11: Tax effects on CJE10 | 500 |
| CJE12: Allocate share of post-acq RE to NCI | (25,000) |

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| | | |
|---|---|---|
| CJE13: Eliminate dividends declared by X Co | 9,000 | |
| CJE14: Unrealized profit at beginning of the year | (600) | |
| CJE15: Tax on unrealized profit at beginning of the year | 120 | |
| CJE16: Allocate share of current income to NCI | (57,550) | |
| | 3,414,670 | |

***Analytical check on consolidated RE as at 31 Dec 20x6***

| | | |
|---|---|---|
| P's RE | 2,860,000 | |
| P's share of X's post-acquisition RE | 720,000 | 90%*(1200000-400000) |
| P's share of X's depreciation of undervalued fixed assets, after-ta | (57,600) | 90%*120000*4/6*80% |
| P's share of X's unrealized profit on inventory, after-tax | (1,080) | 90%*(150000-135000)*10%*80% |
| P's share of X's unrealized interest income, after-tax | (106,650) | Note1 |
| **Consolidated RE as at 31 Dec 20x6** | 3,414,670 | |
| | | 0 |

Note1: P's share of (Interest capitalized by P -Interest expense incurred by X with banks)xRemaining life/Useful life x After-tax
90%*(200000+150000-120000-80000)*19.75/20*80%

***(ii) Consolidated Fixed Assets as at 31 December 20x6***

| | |
|---|---|
| Listings approach | |
| P's fixed assets | 3,800,000 |
| X's fixed assets | 2,800,000 |
| CJE1: Elimination of investment in X Co | 120,000 |
| CJE2: Accumulated depreciation | (80,000) |
| CJE4: Adjustment for capitalized interest in fixed assets | (350,000) |
| CJE6: Adjustment of current depreciation of transferred fixed ass | 4,375 |
| CJE8: Recognition of capitalized third party interest in warehouse | 200,000 |
| CJE10: Depreciation on capitalized interest | (2,500) |
| | 6,491,875 |

***Analytical check on Consolidated Fixed Assets as at 31 December 20x6***

| | | |
|---|---|---|
| P's Fixed Assets | 3,800,000 | |
| X's Fixed Assets | 2,800,000 | |
| Remaining balance of under-valued fixed assets | 40,000 | 120000*2/6 |
| Undepreciated unrealized internal interest | (148,125) | |
| | 6,491,875 | 0 |

Note1: (Interest capitalized by P -Interest expense incurred by X with banks)xRemaining life/Useful life
(200000+150000-120000-80000)*19.75/20

**(i) Consolidated Inventory as at 31 December 20x6**

| | |
|---|---|
| Listings approach | |
| P's Inventory | 554,000 |
| X's Inventory | 320,000 |
| CJE14: Unrealized profit at beginning of the year | (1,500) |
| | 872,500 |

**Analytical check on Consolidated Inventory as at 31 December 20x6**

| | |
|---|---|
| P's Inventory | 554,000 |
| X's Inventory | 320,000 |
| Unrealized profit as at 31 December 20x6 | (1,500) |
| | 872,500 |

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**Part (1): Consolidation entries for year ended 31 December 20x6**

***CJE1: Elimination of investments***

| | | |
|---|---|---|
| Dr Share capital | 1,000,000 | |
| Dr Retained earnings | 550,000 | |
| Dr Revaluation reserves | 120,000 | |
| Dr Deferred tax asset | 8,000 | |
| Dr Goodwill | 342,000 | |
| Cr Accounts receivable | | 40,000 |
| Cr Investment in Y Co | | 1,800,000 |
| Cr Non-controlling interests | | 180,000 |
| | 2,020,000 | 2,020,000 |

***CJE2: Adjustment for impairment loss on troubled accounts receivable***

| | | |
|---|---|---|
| Dr Accounts receivable | 40,000 | |
| Cr Retained earnings | | 36,000 |
| Cr Non-controlling interests | | 4,000 |

***CJE3: Adjustment for tax on provision for loss***

| | | |
|---|---|---|
| Dr Retained earnings | 7,200 | |
| Dr Non-controlling interests | 800 | |
| Cr Deferred tax asset | | 8,000 |

***CJE4: Adjustment for unrealized profit on transfer of fixed assets***

*Reinstate to original cost and accumulated depreciation prior to transfer*

| | | |
|---|---|---|
| Dr Gain on sale | 62,500 | |
| Dr Fixed assets | 50,000 | |
| Cr Accumulated depreciation | | 112,500 |

| | Shd be | What is | Adjustmt |
|---|---|---|---|
| Fixed assets, cost | 300,000 | 250,000 | 50,000 |
| Accumulated depreciation | (112,500) | 0 | (112,500) |
| Net book value | 187,500 | 250,000 | (62,500) |

***CJE5: Adjustment for tax on unrealized profit on transfer of fixed assets***

| | | |
|---|---|---|
| Dr Deferred tax asset | 12,500 | |
| Cr Tax expense | | 12,500 |

***CJE6: Adjustment of current depreciation on transferred fixed asset***

| | | | |
|---|---|---|---|
| Dr Accumulated depreciation | 20,833 | | |
| Cr Depreciation | | 20,833 | |
| Depreciation before transfer | | | 62,500 |
| Depreciation after transfer | | | 83,333 |
| Annual over-depreciation to be corrected | | 62500/3 | (20,833) |

***CJE7: Tax effects on CJE6***

| | | |
|---|---|---|
| Dr Tax expense | 4,167 | |
| Cr Deferred tax asset | | 4,167 |

***CJE8: Allocate share of post-acq RE to NCI***

| | | | |
|---|---|---|---|
| Dr RE | 12,000 | | |
| Cr NCI | | 12,000 | |
| RE at 1 Jan 20x6 | | | 670,000 |
| RE at date of acquisition | | | 550,000 |
| Change in RE | | | 120,000 |
| NCI's share | | | 12,000 |

***CJE9: Eliminate dividends declared by Y Co***

| | | |
|---|---|---|
| Dr Dividend income | 90,000 | |
| Dr Non-controlling interests | 10,000 | |

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| | | |
|---|---|---|
| Cr Dividend declared | | 100,000 |

***CJE10: Allocate share of current income to NCI***

| | | |
|---|---|---|
| Dr Income to NCI | 52,667 | |
| Cr NCI (BS) | | 52,667 |

| | |
|---|---|
| NPAT of Y Co | 560,000 |
| Less Gain on sale of FA | (62,500) |
| Add tax on gain on sale of FA | 12,500 |
| Add depreciation on gain on sale of FA | 20,833 |
| Less tax expense on gain on sale of FA | (4,167) |
| Adjusted NPAT | 526,667 |

***CJE11: Change in OCI***

| | | |
|---|---|---|
| Dr Opening OCI | 23,000 | |
| Dr Current OCI to NCI | 5,000 | |
| Cr NCI | | 28,000 |

***CJE12: Elimination of intercompany payable and receivable***

| | | |
|---|---|---|
| Dr Amount due to Y Co | 120,000 | |
| Cr Amount due from P Co | | 120,000 |

***CJE13: Elimination of downstream sales***

| | | |
|---|---|---|
| Dr Sales | 80,000 | |
| Cr Cost of sales | | 78,000 |
| Cr Inventory | | 2,000 |

| | Group | Y Co |
|---|---|---|
| Ending inventory | 28,000 | 32,000 |
| NRV | 30,000 | 30,000 |
| Loss | 0 | 2,000 |

***CJE14: Tax effects of CJE13***

| | | |
|---|---|---|
| Dr DTA | 400 | |
| Cr Tax expense | | 400 |

**Part (2): Analytical check of Non-controlling Interests:**

| | | |
|---|---|---|
| Book value of net assets as at 31 Dec 20x6 | | 2,530,000 |
| Less unrealized profit in fixed assets | 62500/3*2*80% | (33,333) |
| Adjusted book value | | 2,496,667 |
| NCI's share | | 249,667 |
| NCI's goodwill | Note 1 | 16,200 |
| NCI at year-end | | 265,867 |

Note 1: 180000-(10%*(1630000+8000))

| | | |
|---|---|---|
| CJE1: Elimination of investments | 180,000 | |
| CJE2: Adjustment for impairment loss on troubled accounts receivable | 4,000 | |
| CJE3: Adjustment for tax on provision for loss | (800) | |
| CJE8: Allocate share of post-acq RE to NCI | 12,000 | |
| CJE9: Eliminate dividends declared by Y Co | (10,000) | |
| CJE10: Allocate share of current income to NCI | 52,667 | |
| CJE11: Change in OCI | 28,000 | 0 |
| NCI balance as at 31 Dec 20x6 | 265,867 | |

**3 (a): Consolidated fixed assets as at 31 December 20x6**

Compilation approach

| | |
|---|---|
| P Co | 3,200,000 |
| Y Co | 2,900,000 |

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| | |
|---|---|
| CJE4: Adjustment for unrealized profit on transfer of fixed assets | (62,500) |
| CJE6: Adjustment of current depreciation on transferred fixed asset | 20,833 |
| | 6,058,333 |

Analytical approach

| | | |
|---|---|---|
| P Co | | 3,200,000 |
| Y Co | | 2,900,000 |
| Adjust unrealized profit as at 31 Dec 20x6 | Note 1 | (41,667) |
| | | 6,058,333 |

Note 1 62500*2/3

**3 (b): Consolidated inventory as at 31 December 20x6**

Compilation approach

| | |
|---|---|
| P Co | 600,000 |
| Y Co | 400,000 |
| CJE13: Elimination of downstream sales | (2,000) |
| | 998,000 |

Analytical approach

| | |
|---|---|
| P Co | 600,000 |
| Y Co | 400,000 |
| Adjustment to ending inventory | (2,000) |
| Consolidaetd inventory | 998,000 |

| | Group | Y Co | Difference |
|---|---|---|---|
| Ending inventory | 28,000 | 32,000 | |
| NRV | 30,000 | 30,000 | |
| Loss | 0 | 2,000 | |
| LCNRV | 28,000 | 30,000 | (2,000) |

**3 (c) : Consolidated RE balance at as 1 January 20x6**

Compilation approach

| | |
|---|---|
| P Co's RE | 1,450,000 |
| S Co's RE | 670,000 |
| CJE1: Elimination of investments | (550,000) |
| CJE2: Adjustment for impairment loss on troubled accounts receivable | 36,000 |
| CJE3: Adjustment for tax on provision for loss | (7,200) |
| CJE8: Allocate share of post-acq RE to NCI | (12,000) |
| | 1,586,800 |

Analytical approach

| | | |
|---|---|---|
| P Co's RE | | 1,450,000 |
| P's share of post-acquisition RE of S | | 108,000 |
| P's share of past amortization of troubled AR, after tax | | 28,800 |
| | | 1,586,800 0 |

**3 (d): Consolidated RE balance as at 31 December 20x6**

Compilation approach

| | |
|---|---|
| P Co's RE | 2,930,000 |
| S Co's RE | 1,130,000 |

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| | |
|---|---|
| CJE1: Elimination of investments | (550,000) |
| CJE2: Adjustment for impairment loss on troubled accounts receivable | 36,000 |
| CJE3: Adjustment for tax on provision for loss | (7,200) |
| CJE4: Adjustment for unrealized profit on transfer of fixed assets | (62,500) |
| CJE5: Adjustment for tax on unrealized profit on transfer of fixed asset: | 12,500 |
| CJE6: Adjustment of current depreciation on transferred fixed asset | 20,833 |
| CJE7: Tax effects on CJE6 | (4,167) |
| CJE8: Allocate share of post-acq RE to NCI | (12,000) |
| CJE9: Eliminate dividends declared by Y Co | 10,000 |
| CJE10: Allocate share of current income to NCI | (52,667) |
| CJE13: Elimination of downstream sales | (2,000) |
| CJE14: Tax effects of CJE13 | 400 |
| Consolidated retained earnings as at 31 Dec 20x6 | 3,449,200 |

| | |
|---|---|
| Analytical check on consolidated retained earnings as at 31 Dec 20x6 | |
| P Co's RE | 2,930,000 |
| P's share of post-acquisition RE of S | 522,000 |
| P's share of past amortization of troubled AR, after tax | 28,800 |
| P's share of unrealized profit in equipment, after tax | (30,000) |
| Unrealized profit in downstream transfer of inventory, after tax | (1,600) |
| Consolidated retained earnings as at 31 Dec 20x6 | 3,449,200 |

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| | | | |
|---|---|---|---|
| ***Part (1): Consolidation adjustments*** | | | |
| ***CJE1: Elimination of investment in Silver Co*** | | | |
| Dr Share capital | 900,000 | | |
| Dr Retained earnings | 800,000 | | |
| Dr Inventory | 50,000 | | |
| Dr Goodwill | 680,000 | | |
| Cr Deferred tax liability | | 10,000 | |
| Cr Investment in Silver Co | | 2,200,000 | |
| Cr Non-controlling interests | | 220,000 | |
| | 2,430,000 | 2,430,000 | |
| | | | |
| NCI's share of goodwill | 46,000 | 220000-10%*(1750000-(20%*50000)) | |
| | | | |
| ***CJE2: Adjustment of past COS and current impairment loss of under-valued inventory*** | | | |
| Dr Opening RE | 40,500 | 90%*90%*50000 | |
| Dr Non-controlling interests | 4,500 | | |
| Dr Impairment loss | 3,000 | | |
| Cr Inventory | | 48,000 | |
| | | | |
| | Group | Legal | |
| Carrying amount | 23000 | 18,000 | |
| NRV | 20000 | 20,000 | |
| LCNRV | 20000 | 18,000 | |
| Impairment loss | 3000 | 0 | |
| | | | |
| ***CJE3: Tax effects of CJE2*** | | | |
| Dr DTA | 9,600 | 20%*48000 | |
| Cr Tax expense | | 600 | |
| Cr Opening RE | | 8,100 | |
| Cr Non-controlling interests | | 900 | |
| | | | |
| ***CJE4: Adjustment for unrealized profit in development properties*** | | | |
| Dr Opening RE | 180,000 | 90%*200000 | |
| Dr Non-controlling interest | 20,000 | 10%*200000 | |
| Cr Development properties | | 200,000 | |
| | | | |
| ***CJE5: Adjustment for tax on unrealized profit on CJE4*** | | | |
| Dr Deferred tax asset | 40,000 | | |
| Cr Opening RE | | 36,000 | |
| Cr Non-controlling interests | | 4,000 | |
| | | | |
| ***CJE6: Adjustment of current unrealized profit in development properties*** | | | |
| Dr Construction revenue | 850,000 | | |
| Cr Construction costs | | 750,000 | |
| Cr Development properties | | 100,000 | |
| | | | |
| ***CJE7: Adjustment of tax on current unrealized profit in construction WIP*** | | | |
| Dr Deferred tax asset | 20,000 | 20%*100000 | |
| Cr Tax expense | | 20,000 | |
| | | | |
| ***CJE8: Adjustment of cost of sales of development properties*** | | | |
| Dr Development properties | 180,000 | 60%*300000 | |
| Cr Cost of sales | | 180,000 | |
| | | | |
| ***CJE9: Tax effects of CJE8*** | | | |
| Dr Tax expense | 36,000 | | |
| Cr Deferred tax asset | | 36,000 | |

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| | | | |
|---|---|---|---|
| ***CJE10: Allocate share of post-acq RE to NCI*** | | | |
| Dr Opening RE | 52,000 | | |
| Cr NCI (BS) | | 52,000 | |
| RE at 1 Jan 20x6 | | | 1,320,000 |
| RE at date of acquisition | | | 800,000 |
| Change in RE | | | 520,000 |
| NCI's share | | | 52,000 |
| | | | |
| ***CJE11: Eliminate dividends declared by Silver Co*** | | | |
| Dr Dividend income | 81,000 | | |
| Dr Non-controlling interests | 9,000 | | |
| Cr Dividend declared | | 90,000 | |
| | | | |
| ***CJE12: Adjustment for unrealized profit on upstream transfer of inventory*** | | | |
| Dr ORE | 7,200 | 90%*40%*20000 | |
| Dr NCI | 800 | | |
| Cr Cost of sales | | 6,000 | 30%*20000 |
| Cr Inventory | | 2,000 | 10%*20000 |
| | | | |
| ***CJE13: Tax effects of CJE12*** | | | |
| Dr Tax expense | 1,200 | | |
| Dr DTA | 400 | | |
| Cr ORE | | 1,440 | |
| Cr NCI | | 160 | |
| | | | |
| ***CJE14: Allocate share of current income to NCI*** | | | |
| Dr Income to NCI | 140,240 | | |
| Cr NCI (BS) | | 140,240 | |
| NPAT of Silver Co | | | 1,336,000 |
| Less unrealized construction profit | | | (100,000) |
| Add tax on unrealized profit | | | 20,000 |
| Add realized profit on development sales | | | 180,000 |
| Less tax on realized profit | | | (36,000) |
| Add back excess cost of sales | | | 6,000 |
| Less tax on excess cost of sales | | | (1,200) |
| Less impairment loss on undervalued inventory | | Workings | (3,000) |
| Add tax on impairment loss on undervalued inventory | | | 600 |
| Adjusted NPAT | | | 1,402,400 |
| Workings: Impairment loss | Legal entity | Group entity | |
| Ending balance of undervalued inventory | 18,000 | 23,000 | |
| FV of undervalued inventory | 20,000 | 20,000 | 0 |
| Impairment loss | 0 | 3,000 | |
| | | | |
| ***CJE15: Elimination of intercompany balances*** | | | |
| Dr Intercompany payable | | 500,000 | |
| Cr Intercompany receivable | | | 500,000 |
| | | | |
| ***Part (2): Analytical check on Non-controlling interests:*** | | | |
| Book value of net assets as at 31 Dec 20x6 | | | 3,466,000 |
| Add remaining undervalued inventory, after tax | | | 1,600 |
| Less unrealized profit in inventory, after tax | | 80%*10%*20000 | (1,600) |
| Adjustment for unrealized profit in building | | 300000*80%*40% | (96,000) |
| Adjusted net assets as at 31 Dec 20x6 | | | 3,370,000 |
| NCI's share | | | 337,000 |
| Add NCI's goodwill | 220000-10%*(1750000-(20%*50000)) | | 46,000 |
| | | | 383,000 |
| | | | |
| CJE1: Elimination of investment in Silver Co | | | 220,000 |

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| | | |
|---|---|---|
| CJE2: Adjustment of past COS and current impairment loss of under-valued | | (4,500) |
| CJE3: Tax effects of CJE2 | | 900 |
| CJE4: Adjustment for unrealized profit in development properties | | (20,000) |
| CJE5: Adjustment for tax on unrealized profit on CJE4 | | 4,000 |
| CJE10: Allocate share of post-acq RE to NCI | | 52,000 |
| CJE11: Eliminate dividends declared by Silver Co | | (9,000) |
| CJE12: Adjustment for unrealized profit on upstream transfer of inventory | | (800) |
| CJE13: Tax effects of CJE12 | | 160 |
| CJE14: Allocate share of current income to NCI | | 140,240 |
| NCI balance as at 31 Dec 20x6 | 0 | 383,000 |
| | | |
| | | |
| ***Part (3): Analytical check on consolidation retained earnings*** | | |
| Listings or compilation approach: | | |
| P's Retained earnings as at 31 Dec 20x6 | | 6,000,000 |
| S' Retained earnings as at 31 Dec 20x6 | | 2,566,000 |
| CJE1: Elimination of investment in Silver Co | | (800,000) |
| CJE2: Adjustment of past COS and current impairment loss of under-valued inventory | | (43,500) |
| CJE3: Tax effects of CJE2 | | 8,700 |
| CJE4: Adjustment for unrealized profit in development properties | | (180,000) |
| CJE5: Adjustment for tax on unrealized profit on CJE4 | | 36,000 |
| CJE6: Adjustment of current unrealized profit in development properties | | (100,000) |
| CJE7: Adjustment of tax on current unrealized profit in construction WIP | | 20,000 |
| CJE8: Adjustment of cost of sales of development properties | | 180,000 |
| CJE9: Tax effects of CJE8 | | (36,000) |
| CJE10: Allocate share of post-acq RE to NCI | | (52,000) |
| CJE11: Eliminate dividends declared by Silver Co | | 9,000 |
| CJE12: Adjustment for unrealized profit on upstream transfer of inventory | | (1,200) |
| CJE13: Tax effects of CJE12 | | 240 |
| CJE14: Allocate share of current income to NCI | | (140,240) |
| | | |
| | | 7,467,000 |
| | | |
| P's Retained earnings as at 31 Dec 20x6 | | 6,000,000 |
| P's share of S's post-acquisition RE as at 31 Dec 20x6 | | 1,589,400 |
| | | |
| P's share of S' post-tax cumulative amortization of FV-BV differential | | (34,560) |
| | | |
| P's share of construction profit in upstream transfer | 96000*90% | (86,400) |
| P's share of unrealized profit in upstream transfer | 1600*90% | (1,440) |
| | | |
| | | 7,467,000 |
| | 0 | |

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| | | | | |
|---|---|---|---|---|
| ***Part (1): Consolidation and equity accounting entries for 20x4*** | | | | |
| ***CJE1: Elimination of investment in X Co*** | | | | |
| Dr Share capital | 500,000 | | | |
| Dr Retained earnings | 350,000 | | | |
| Dr Intangible assets | 50,000 | | | |
| Dr Goodwill | 210,000 | | | |
| Cr Deferred tax liability | | 10,000 | | |
| Cr Investment in X | | 1,000,000 | | |
| Cr Non-controlling interests | | 100,000 | | |
| | 1,110,000 | 1,110,000 | | |
| | | | | |
| ***CJE2: Past accumulated amortization to opening RE (20x1,20x2,20x3) and current (20x4)*** | | | | |
| Dr Opening RE | 36,000 | 90%*((50000*3/5)+10000) | | |
| Dr Non-controlling interests | 4,000 | 10%*((50000*3/5)+10000) | | |
| Dr Amortization | 5,000 | =10000/2 | | |
| Cr Accumulated amortization | | 45000.00 | | |
| | Legal entity | Group entity | | |
| Recoverable amount as at 31 Dec 20x3 | 110,000 | 110,000 | | |
| Remaining net book value | 100,000 | 120,000 | | |
| Impairment loss | 0 | 10000.00 | 10000.00 | |
| New carrying amount | 100,000 | 110000.00 | 10000.00 | |
| | | | | |
| ***CJE3: Tax effects of CJE2*** | | | | |
| Dr Deferred tax liability | 9,000 | 20%*45000 | | |
| Cr Opening RE | | 7200.00 | 20%*36000 | |
| Cr Non-controlling interests | | 800.00 | 20%*4000 | |
| Cr Tax expense | | 1,000 | 20%*5000 | |
| | | | | |
| ***CJE4: Adjustment of unrealized profit on transfer of inventory*** | | | | |
| Dr Opening RE | 10,800 | 90%*40%*30000 | | |
| Dr NCI | 1,200 | 10%*40%*30000 | | |
| Cr Cost of sales | | 9,000 | 30%*30000 | |
| Cr Inventory | | 3,000 | 10%*30000 | |
| | 12,000 | 12,000 | | |
| | | | | |
| ***CJE5: Adjustment for tax on unrealized profit on transfer of inventory*** | | | | |
| Dr Tax expense | 1,800 | 20%*9000 | | |
| Dr Deferred tax asset | 600 | 20%*3000 | | |
| Cr Opening RE | | 2,160 | 20%*10800 | |
| Cr NCI | | 240 | 20%*1200 | |
| | | | | |
| ***CJE6: Allocate share of post-acq RE to NCI*** | | | | |
| Dr Opening RE | 17,000 | | | |
| Cr NCI (BS) | | 17,000 | | |
| RE at 1 Jan 20x4 | | 520,000 | | |
| RE at date of acquisition | | 350,000 | | |
| Change in RE | | 170,000 | | |
| NCI's share | | 17,000 | | |
| | | | | |
| ***CJE7: Eliminate dividends declared by X Co*** | | | | |

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| | | | | |
|---|---|---|---|---|
| Dr Dividend income | 36,000 | | | |
| Dr Non-controlling interests | 4,000 | | | |
| Cr Dividend declared | | 40,000 | | |
| | | | | |
| ***CJE8: Adjust unrealized loss on downstream sale*** | | | | |
| Dr Fixed Assets | 50,000 | 120000-70000 | | |
| Cr Accumulated depreciation | | 40,000 | Includes impairment loss | |
| Cr Loss on sale | | 10,000 | 80000-70000 | |
| | 50,000 | 50,000 | | |
| | | | | |
| ***CJE9: Tax effects of CJE8*** | | | | |
| Dr Tax expense | 2,000 | | | |
| Cr DTL | | 2,000 | | |
| | | | | |
| ***CJE10: Adjustment of depreciation on unrealized loss*** | | | | |
| Dr Depreciation | 500 | 10000/10*1/2 | | |
| Cr Accumulated depreciation | | 500 | | |
| | | | | |
| ***CJE11: Tax effects of CJE10*** | | | | |
| Dr DTL | 100 | | | |
| Cr Tax expense | | 100 | | |
| | | | | |
| ***CJE12: Allocate share of current income to NCI*** | | | | |
| Dr Income to NCI | 64,320 | | | |
| Cr NCI (BS) | | 64,320 | | |
| NPAT of X Co | | | 640,000 | |
| Less depreciation | | | (5,000) | |
| Add tax on depreciation | | | 1,000 | |
| Add realized profit on transfer of inventory | | | 9,000 | |
| Less tax on profit on transfer of inventory | | | (1,800) | |
| Adjusted NPAT | | | 643,200 | |
| | | | | |
| ***CJE13: Elimination of intercompany balances*** | | | | |
| Dr Amount due to X Co | 100,000 | | | |
| Cr Amount due from P Co | | 100,000 | | |
| | | | | |
| ***Part (2): Analytical check on Non-controlling interests:*** | | | | |
| Book value of net assets as at 31 Dec 20x4 | | 1,620,000 | | |
| Remaining balance of intangible asset (net of tax) | | 4,000 | Note 1 | |
| Adjustment for unrealized profit in inventory | | (2,400) | Note 2 | |
| Adjusted net assets as at 31 Dec 20x4 | | 1,621,600 | | |
| NCI's share of net assets | | 162,160 | | |
| NCI's share of goodwill | | 11,000 | Note 3 | |
| NCI balance as at 31 Dec 20x4 | | 173,160 | | |
| | | | | |
| Note 1: | (110000-100000)/2*80% | | | |
| Note 2: | 30000*10%*80% | | | |
| Note 3: | 100000-10%*(910000-(20%*60000)) | | | |

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| Listings approach | | |
|---|---|---|
| CJE1: Elimination of investment in X Co | | 100,000 |
| CJE2: Past accumulated amortization to opening RE (20x1,20x2,20x3) and current ( | | (4,000) |
| CJE3: Tax effects of CJE2 | | 800 |
| CJE4: Adjustment of unrealized profit on transfer of inventory | | (1,200) |
| CJE5: Adjustment for tax on unrealized profit on transfer of inventory | | 240 |
| CJE6: Allocate share of post-acq RE to NCI | | 17,000 |
| CJE7: Eliminate dividends declared by X Co | | (4,000) |
| CJE12: Allocate share of current income to NCI | | 64,320 |
| NCI balance as at 31 Dec 20x4 | 0 | 173,160 |

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| **Part (3): Consolidated Retained Earnings as at 31 Dec 20x4** | | |
|---|---|---|
| P's retained earnings as at 31 Dec 20x4 | | 3,120,000 |
| P's share of X Co's post acq RE to 31 Dec 20x4 | 90%*(1120000-350000) | 693,000 |
| P's share of amortization of intangible assets | 90%*80%*45000 | (32,400) |
| P's share of unrealized profit | | |
| Upstream sale | 90%*80%*10%*30000 | (2,160) |
| Downstream sale | 80%*10000/10*9.5 | 7,600 |
| | | 3,786,040 |
| Listings approach: | | |
| P's Retained Earnings as at 31 Dec 20x4 | | 3,120,000 |
| S's Retained Earnings as at 31 Dec 20x4 | | 1,120,000 |
| CJE1: Elimination of investment in X Co | | (350,000) |
| CJE2: Past accumulated amortization to opening RE (20x1,20x2,20x3) and current (20x4) | | (41,000) |
| CJE3: Tax effects of CJE2 | | 8,200 |
| CJE4: Adjustment of unrealized profit on transfer of inventory | | (1,800) |
| CJE5: Adjustment for tax on unrealized profit on transfer of inventory | | 360 |
| CJE6: Allocate share of post-acq RE to NCI | | (17,000) |
| CJE7: Eliminate dividends declared by X Co | | 4,000 |
| CJE8: Adjust unrealized loss on downstream sale | | 10,000 |
| CJE9: Tax effects of CJE8 | | (2,000) |
| CJE10: Adjustment of depreciation on unrealized loss | | (500) |
| CJE11: Tax effects of CJE10 | | 100 |
| CJE12: Allocate share of current income to NCI | | (64,320) |
| | 0.00 | 3,786,040 |

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| | | | |
|---|---|---|---|
| **Part (1): Consolidation adjustments** | | | |
| ***CJE1: Elimination of investment in Silver Co*** | | | |
| Dr Share capital | | 1,000,000 | |
| Dr Retained earnings | | 800,000 | |
| Dr Inventory | | 30,000 | |
| Dr Goodwill | | 1,696,000 | |
| Cr Deferred tax liability | | | 6,000 |
| Cr Investment in Silver Co | | | 3,200,000 |
| Cr Non-controlling interests | | | 320,000 |
| | | 3,526,000 | 3,526,000 |
| | | | |
| NCI's share of goodwill | | 137,600 | 320000-10%*(1830000-(20%*30000)) |
| | | | |
| ***CJE2: Adjustment of COS of under-valued inventory*** | | | |
| Dr Opening RE | | 16,200 | 90%*60%*30000 |
| Dr Non-controlling interests | | 1,800 | 10%*60%*30000 |
| Dr Cost of sales | | 9,000 | 30%*30000 |
| Cr Inventory | | | 27,000 |
| | | | |
| ***CJE3: Tax effects of CJE2*** | | | |
| Dr DTA | | 5,400 | 20%*27000 |
| Cr Tax expense | | | 1,800 |
| Cr Opening RE | | | 3,240 |
| Cr Non-controlling interests | | | 360 |
| | | | |
| ***CJE4: Adjustment for unrealized profit in buildings*** | | | |
| Dr Opening RE | | 22,500 | 90%*(0.03-0.025)*10000000*1/2 |
| Dr Non-controlling interest | | 2,500 | 10%*(0.03-0.025)*10000000*1/2 |
| Cr Building | | | 25,000 |
| | | | |
| ***CJE5: Adjustment for tax on unrealized profit on CJE4*** | | | |
| Dr Deferred tax asset | | 5,000 | |
| Cr Opening RE | | | 4,500 |
| Cr Non-controlling interests | | | 500 |
| | | | |
| ***CJE6: Adjustment of current unrealized profit in buildings*** | | | |
| Dr Interest revenue | 3%*10000000*3/4 | 225,000 | |
| Cr Interest expense | 2.5%*10000000*3/4 | | 187,500 |
| Cr Building | | | 37,500 |
| | | | |
| ***CJE7: Adjustment of tax on current unrealized profit in buildings*** | | | |
| Dr Deferred tax asset | | 7,500 | 20%*37500 |
| Cr Tax expense | | | 7,500 |
| | | | |
| ***CJE8: Adjustment of excess depreciation in building*** | | | |
| Dr Accumulated depreciation | | 1,563 | 62500/10*0.25 |
| Cr Depreciation expense | | | 1,563 |
| | | | |
| ***CJE9: Tax effects of CJE8*** | | | |
| Dr Tax expense | | 313 | 20%*1563 |
| Cr Deferred tax asset | | | 313 |
| | | | |
| ***CJE10: Elimination of interest during 20x6*** | | | |
| Dr Interest income | | 135,000 | (3%*12000000*1/4)+(3%*2000000*9/12) |
| Cr Interest expense | | | 135,000 |
| | | | |
| ***CJE11: Allocate share of post-acq RE to NCI*** | | | |
| Dr Opening RE | | 80,000 | |

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| | | | | | |
|---|---|---|---|---|---|
| Cr NCI (BS) | | | | 80,000 | |
| RE at 1 Jan 20x6 | | | | | 1,600,000 |
| RE at date of acquisition | | | | | 800,000 |
| Change in RE | | | | | 800,000 |
| NCI's share | | | | | 80,000 |
| | | | | | |
| ***CJE12: Eliminate dividends declared by Silver Co*** | | | | | |
| Dr Dividend income | | | 90,000 | | |
| Dr Non-controlling interests | | | 10,000 | | |
| Cr Dividend declared | | | | 100,000 | |
| | | | | | |
| ***CJE13: Adjustment for artificial profit on upstream transfer of inventory*** | | | | | |
| Dr Sales | | | 80,000 | | |
| Cr Cost of sales | | | | 80,000 | Note 1 |
| Re-instate inventory to fair value from artificially low TP | | | | | |
| Note 1: | COS (S) | | 40,000 | | |
| | COS (P) | | 48,000 | | |
| | Difference in impairment loss | | (8,000) | | |
| | Total COS | | 80,000 | | |
| | | | | | |
| | Legal entity | Group entity | Difference | | |
| OC | 32,000 | 40,000 | | | |
| NRV | 30,000 | 30,000 | | | |
| LCNRV | 30,000 | 30,000 | 0 | | |
| Impairment loss | 2,000 | 10,000 | 8,000 | | |
| | | | | | |
| ***CJE15: Allocate share of current income to NCI*** | | | | | |
| Dr Income to NCI | | | 156,405 | | |
| Cr NCI (BS) | | | | 156,405 | |
| NPAT of Silver Co | | | | | 1,600,000 |
| Less unrealized interest profit | | | | | (37,500) |
| Less tax on unrealized profit | | | | | 7,500 |
| Add back depreciation expense | | | | | 1,563 |
| Less tax on depreciation expense | | | | | (313) |
| Less COS on under-valuation of inventory | | | | | (9,000) |
| Add tax on COS on under-valuation of inventory | | | | | 1,800 |
| Adjusted NPAT | | | | | 1,564,050 |
| | | | | | |
| ***CJE16: Elimination of intercompany balances*** | | | | | |
| Dr Loan payable | | | 12,000,000 | | |
| Cr Loan receivable | | | | 12,000,000 | |
| | | | | | |
| ***Part (2): Analytical check of Non-controlling interests:*** | | | | | |
| Book value of net assets as at 31 Dec 20x6 | | | | | 4,100,000 |
| Add remaining (FV-BV) of inventory, after tax | | | 10%*80%*30000 | | 2,400 |
| Adjustment for unrealized profit in building | | | 62500*80%*9.75/10 | | (48,750) |
| Adjusted net assets as at 31 Dec 20x6 | | | | | 4,053,650 |
| NCI's share | | | | | 405,365 |
| Add NCI's goodwill | | | 320000-10%*(1830000-(20%*30000)) | | 137,600 |
| | | | | | 542,965 |
| | | | | | |
| CJE1: Elimination of investment in Silver Co | | | | | 320,000 |
| CJE2: Adjustment of COS of under-valued inventory | | | | | (1,800) |
| CJE3: Tax effects of CJE2 | | | | | 360 |
| CJE4: Adjustment for unrealized profit in buildings | | | | | (2,500) |
| CJE5: Adjustment for tax on unrealized profit on CJE4 | | | | | 500 |
| CJE11: Allocate share of post-acq RE to NCI | | | | | 80,000 |
| CJE12: Eliminate dividends declared by Silver Co | | | | | (10,000) |

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| | | | |
|---|---|---|---|
| CJE15: Allocate share of current income to NCI | | | 156,405 |
| NCI balance as at 31 Dec 20x6 | | 0 | 542,965 |

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| **Consolidated retained earnings** | | |
|---|---|---|
| P's Retained earnings as at 31 December 20x6 | | 7,680,000 |
| S's Retained earnings as at 31 December 20x6 | | 3,100,000 |
| CJE1: Elimination of investment in Silver Co | | (800,000) |
| CJE2: Adjustment of COS of under-valued inventory | | (25,200) |
| CJE3: Tax effects of CJE2 | | 5,040 |
| CJE4: Adjustment for unrealized profit in buildings | | (22,500) |
| CJE5: Adjustment for tax on unrealized profit on CJE4 | | 4,500 |
| CJE6: Adjustment of current unrealized profit in buildings | | (37,500) |
| CJE7: Adjustment of tax on current unrealized profit in buildings | | 7,500 |
| CJE8: Adjustment of excess depreciation in building | | 1,563 |
| CJE9: Tax effects of CJE8 | | (313) |
| CJE11: Allocate share of post-acq RE to NCI | | (80,000) |
| CJE12: Eliminate dividends declared by Silver Co | | 10,000 |
| CJE13: Adjustment for artificial profit on upstream transfer of inventory | | 0 |
| CJE15: Allocate share of current income to NCI | | (156,405) |
| | | 9,686,685 |
| P's RE as at 31 Dec 20x6 | | 7,680,000 |
| P's share of S's post-acquisition RE as at 31 Dec 20x6 | | 2,070,000 |
| P's share of S's cumulative amortization of FV-BV differential | | (19,440) |
| P's share of unrealized profit in buildings, after tax, in upstream transfer | | (43,875) |
| | 0 | 9,686,685 |

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